

LIVING & WORK LITERACY

1

BUYING SMART



Brian Parker



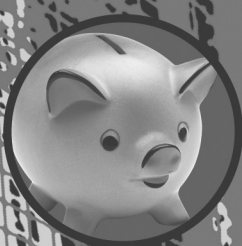
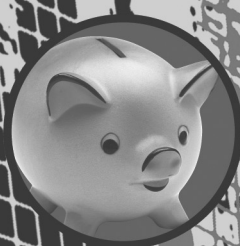
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resources



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1

BUYING SMART



Brian Parker

INSTANT LESSONS



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Introduction

The photocopiable activities in this book teach practical living skills about handling money and being a wise consumer. Topics range from the specific – such as using different methods to pay for goods and services – to the more general, such as finance management strategies. Students will explore these concepts through a range of challenging short answer, class discussion, research and analysis tasks. They will also analyse case studies and scenarios that will assist them to develop decision-making skills in this crucial area of life skills education.

The topics in this book are suitable for secondary school subjects in years 7–10 that teach young people about the practical skills and knowledge that they need to participate fully as members of society. Each topic is self-contained and selected answers have been provided to make marking more time-efficient.

Other books in the *Living and Work Literacy* series cover topics such as government and law, and small business and work skills.

Contents

1	WHAT IS MONEY?	4
2	AUSTRALIAN CURRENCY	6
3	FOREIGN CURRENCY	8
4	CHEQUES	10
5	CREDIT CARDS AND DEBIT CARDS	12
6	TELEPHONE AND ONLINE PAYMENTS	14
7	BUYING AND SELLING ONLINE	16
8	BUYING WISELY	18
9	PROTECTION FOR CONSUMERS	20
10	BORROWING MONEY	22
11	BUDGETING	24
12	CHANGING PRICES	26
13	INVESTING MONEY	28
14	BUYING A CAR	30
15	RENTING A PLACE TO LIVE	32
16	BUYING AND SELLING REAL ESTATE	34
17	INSURANCE	36
18	LOOKING AFTER THE ENVIRONMENT	38
19	PLANNING AN OVERSEAS HOLIDAY	40
20	JOINING A CLUB	42
21	CONSUMER CROSSWORD	44
	SELECTED ANSWERS	45

1 What is money?

Money is very useful to us as it is a means by which we can buy things. It also enables us to compare values and to measure our relative wealth. Money acts as a:

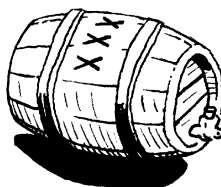
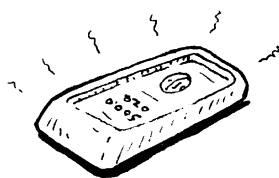
- medium of exchange
- measure of value
- measure of stored wealth
- means of recording and paying debts.

All modern forms of money should be:

- acceptable – everyone must be able to recognise it and accept it for payment
- divisible – it is needed to make both small and large purchases
- portable – it must be easy to carry
- durable – it must last for a long time without being easily damaged or wearing out
- scarce – it must be limited in supply so its value is retained.

STRANGE BUT TRUE!

- ☞ Stones are used as money on the Pacific island of Yap.
- ☞ Cowrie shells were accepted as money on the west coast of Africa. They were used in some parts of Africa until the middle of the 20th century.
- ☞ Cigarettes were used as a medium of exchange in prisoner-of-war camps during the Second World War.
- ☞ Gold and silver have been used as money throughout history.
- ☞ Precious stones such as diamonds have been used as money.
- ☞ Rum was used as a currency in the early colonial period of New South Wales.
- ☞ The first coins were struck in Lydia in Turkey in the 7th century BC. They were made from gold and silver.
- ☞ The original gold and silver coins were known as standard coins.
- ☞ Early coins were not perfectly round. This meant that people could clip or shave off some of the precious metal before passing them on again as coins. Coins were then made with a milled edge to prevent this practice.
- ☞ Coins today are made of a combination of copper and nickel. They are worth more than the value of the metal in them and are therefore known as token coins.
- ☞ Most gold today is held as bullion (gold bars) by the world's largest banks.
- ☞ Paper money was first issued by the Chinese in about 650 AD. Bank notes became more widely accepted in Europe in the 17th century AD when 'goldsmiths notes' were issued as receipts for the gold they held for safekeeping.
- ☞ Cheques were first introduced in about 1650. Bank messengers were used to collect and distribute the cheques from bank to bank.



Forms of money

We think of money in general terms as consisting of coins and bank notes (or paper money). Coins and notes collectively make up what is termed currency, but there are other forms of money.

Cheques, for example, can be viewed as money in that they are used as a medium of exchange. A cheque is really a request from a person to his or her bank for the bank to pay a sum of money to a person or organisation. Cheques are not as easily used or universally accepted as currency because they are subject to certain rules and regulations. Sellers do not have to accept cheques as payment, but they are legally obliged to accept currency.

Debit cards and credit cards can also be classed as money in that they too are used in the commercial exchange of goods and services, but they are also subject to rules and regulations.

Value of money

Goods and services have a money value that is measured by their price. Also, the money income we receive is a reflection of the value of our labour.

We like to know what our money is really worth in terms of what we can buy with it. This is a measure of its purchasing power. If prices increase, we can buy less with the money we have, while if our income increases, we can buy more goods and services (assuming prices remain unchanged).

In fact, both income levels and prices change constantly. When prices and income levels rise rapidly together there is inflation. This can be unfair to people on fixed incomes. In Australia, both the government and the Reserve Bank of Australia attempt to control the rate of inflation.

Activities

- 1** List the various items that have been used as money in the past.
- 2** Explain why coins were made with a milled edge.
- 3** What are the five essential characteristics of money? Explain why each of these is necessary.
- 4** Explain, giving examples, how money can be used as a:
 - a** medium of exchange
 - b** measure of value
 - c** measure of stored wealth
 - d** means of recording and paying debts.
- 5** Explain how cheques and debit and credit cards can be viewed as money. How are they different from currency?



Examine a \$5 note. List all the characteristics and elements that you can see. For each one, suggest a reason why it has been included.

Design a \$1000 note. Remember to include all the aspects of the \$5 note that you think are important.

Compare your design with a partner's design and discuss the best aspects of each one.

2 Australian currency.....

Currency is the system of money that is used in a particular country. Coins and bank notes make up the Australian currency.

Australian coins are made at the Royal Australian Mint in Canberra and consist of 'silver' coins (5, 10, 20 and 50 cents) and 'gold' coins (\$1 and \$2). Bank notes are printed by the Note Processing Centre of the Reserve Bank of Australia at Craigieburn, near Melbourne. All of Australia's currency is issued by the Reserve Bank and distributed through banks.

Prior to 1988, Australia's bank notes were printed on paper. Since then they are printed on plastic (polymer), which is more durable and lasts about four times as long. Furthermore, the polymer notes are recyclable. They are also more difficult to reproduce (by counterfeiters).

STRANGE BUT TRUE!

- ☞ Australia was the first country in the world to print all of its banknotes on polymer rather than traditional paper.
- ☞ Australia's first polymer bank note was the commemorative Bicentennial \$10 note, issued in January 1988.

Legal tender

Legal tender is currency that cannot be legally refused in payment of a debt. However, someone who offers to pay a debt of \$10 000 in 5 cent coins would not be popular. This is why the Reserve Bank sets limits in relation to what people are obliged to accept when someone tenders (or offers to pay) for an item. These limits are:

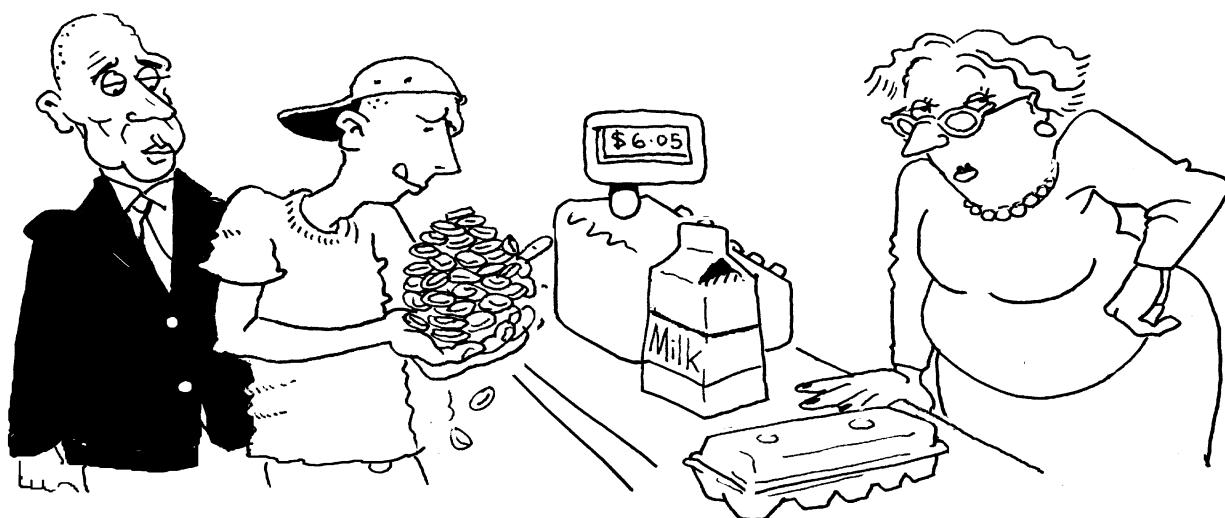
- \$5 limit on 5, 10, 20 and 50 cent coins
- \$10 limit on \$1 and \$2 coins.

There is no limit for bank notes – so you can pay a \$10 000 debt in \$5 notes and the person is legally obliged to accept it.

Counterfeit money

Counterfeiting is copying money to make your own coins or bank notes. It is illegal and there are heavy penalties for counterfeiters who are caught.

To guard against counterfeiting, the Reserve Bank publishes a detection guide to highlight the differences between a counterfeit note and a genuine note. There are hidden patterns and specific symbols in the clear window of legal notes. You can find out more about counterfeit money on the Reserve Bank's website.



Unfit and mutilated notes

Unfit and mutilated notes are those that are no longer suitable for further circulation. An unfit note is one that is stained, defaced or torn.

A mutilated note is one where 20 per cent or more of the note is missing; it has been subject to significant heat damage; or it has been contaminated so as to prevent direct handling.

Banks are authorised to assess these notes and compensate people who discover them. The banks then forward these notes to the Reserve Bank to be destroyed under supervision.

STRANGE BUT TRUE!

In 1966 Australia moved to a new series of paper banknotes, which included what was then considered state-of-the-art security features. However, the worst fears were soon realised when, within the first 12 months of this new series of paper notes being issued, high quality counterfeits of the \$10 denomination were produced and widely circulated.

Activities

- 1 Use the Internet to answer the following questions. (Hint: try the Reserve Bank of Australia's website.)
 - a How can you tell if you have a counterfeit note? What should you do with it?
 - b What are the laws about reproducing a currency note?
 - c Explain why it would be difficult now to make counterfeit Australian bank notes.
 - d Make a list of the people on our bank notes and which notes they appear on.
 - e How long do polymer notes last in circulation compared with paper notes?
- 2 What is a mutilated note and how is it different from an unfit note?
- 3 Indicate whether the following are legal tender and explain why.
 - a \$6 in 5 cent coins
 - b \$20 000 in \$5 notes
 - c \$12 in \$1 coins
 - d \$4 in 50 cent coins
- 4 Copy the following definitions and then write the correct term for each one.
 - a A bank note that has been seriously damaged.
 - b Coins and bank notes.
 - c A plastic bank note.
 - d Money that cannot be refused in payment of a debt.
 - e A bank note that has been slightly damaged.
 - f Money that has been made illegally.



Divide the class into five groups. Allocate one Australian bank note to each group. For each bank note, find out who the people on the note are and why they are famous. Share your findings with the rest of the class.

3 Foreign currency.....

When you travel to foreign countries you will find that they have different money systems or currencies. For example, in the United Kingdom they use pounds, in Thailand they have Baht, while in China the yuan is the currency used.

Exchange rates

Many countries use dollars, such as the United States, New Zealand, Singapore and Canada, however they are still considered foreign currencies in Australia. If you are in Canada and want to buy a hamburger you will need Canadian dollars. So you have to convert your Australian dollars into the local currency. You can do this at a bank, financial institution or foreign exchange dealer. The conversion is done by means of the exchange rate. This is simply the rate at which one currency exchanges for another. For example, on 15 March 2005, the official exchange rate for Australian to Canadian dollars was: A\$1 = C\$0.85. Below is a list in Australian dollars of the exchange rates on 11 March 2005.

EXCHANGE RATES ON 11 MARCH 2005

	Buying	Selling
USA, \$US	0.7955	0.7865
\$A1 for \$US1	1.2571	1.2715
UK, £stg	0.4155	0.4053
\$A1 for £stg	2.4067	2.4673
Japan, yen	83.32	81.10
Canada, \$C	0.9638	0.9373
Denmark, krone	4.4403	4.3111
Euro €	0.5970	0.5790
Fiji, \$F	1.3194	1.2590
Fr Pacific, franc	71.20	69.06
Hong Kong, \$HK	6.2471	6.0818
India, rupee	on app	32.600
New Zealand, \$NZ	1.0829	1.0557
Saudi Arabia, riyal	3.0276	2.9057
Singapore, \$S	1.2994	1.2526
South Africa, rand	4.7080	4.4813
Sweden, krona	5.3995	5.2499
Switzerland, franc	0.9197	0.8945
Thailand, baht	31.33	28.70
Vanuatu, vatu	80.99	85.29

Source: Westpac (n/a to currency notes)



Exchange rates fluctuate on a daily basis according to forces acting in the market place. Australia's exchange rate tells us how much other countries are prepared to pay for our goods and services. For example, an increase in the demand for Australian coal would be likely to lead to an increase in the demand for Australian dollars to pay for it. This puts upward pressure on the price of Australian dollars (in relation to other currencies). Similarly, an increase in the demand for Japanese cars will mean an increase in the demand for Japanese yen to pay for them. The value of the yen would then be likely to increase. A fall in the exchange rate for Australian dollars will make it more expensive for us to buy overseas goods and services.

The euro

On 1 January 2002 several European currencies, such as the German mark, the Italian lira and the French franc, were replaced by a single currency, known as the euro. This single currency, now used in 12 European countries, has made it much easier to conduct business across Europe.

The currencies of Finland, Norway, Sweden, Switzerland and the United Kingdom have been retained. (Norway and Switzerland are not members of the European Union.)

Activities

- 1 What are exchange rates? What is their purpose?
- 2 Why do exchange rates fluctuate on a daily basis?
- 3 Use the exchange rates on 11 March 2005 (on the previous page) to answer the following questions.
 - a What is the exchange rate (buying rate) between the United States dollar and the Australian dollar?
 - b Imagine that you are at the airport and you have A\$100 that you want to convert to euros. How many euros will you receive?
 - c A milkshake in Japan costs 300 yen. How much is this in Australian dollars?
 - d Kate catches a taxi from JFK Airport to downtown New York. She pays US\$50. How much is that in Australian dollars?
- 4 Plan a trip around the world, visiting 10 countries. What currencies will you need for your trip?
- 5 You will notice that in the exchange rates table on the previous page there is a buying rate and a selling rate. Explain why these two rates are different.
- 6 Which currency has the greatest difference between the buying rate and the selling rate? Which currency has the smallest difference?
- 7 A hamburger in Paris costs 5 euros. The exchange rate is 1 euro = A\$1.70. Imagine that the exchange rate changes to 1 euro = A\$1.65. Is the hamburger now cheaper or more expensive, and by how much?
- 8 What three countries in the European Union did not convert to the euro? Why do you think these countries chose not to convert?
- 9 Check the exchange rates in the finance and business section of your daily newspaper.
 - a What is the current exchange rate (buying rate) for the following currencies?
 - pound sterling
 - US dollar
 - euro
 - b Compared to the table of exchange rates on the previous page, which currency has changed the most?
- 10 Is it possible for every country in the world to have the same currency? Why?



Find out which European countries changed their currency to the euro and what their previous currencies were.

4 Cheques

A cheque is simply an instruction from a person to his or her bank to pay a certain amount of money to a person or organisation. The person writing the cheque is called the drawer, as they are drawing on their bank account. The person or organisation who is to receive the cheque is the payee.

Below is an example of a typical cheque.

The image shows a sample cheque from Vectra Bank Limited, 310 Collins St Branch Melbourne Vic. The cheque is dated 3 July 2005 and is payable to Ron Sparks for \$250. The amount is written in words as 'two hundred and fifty dollars only'. The drawer's name is Linda Roberts. The cheque includes a MICR line at the bottom: 601478 112849036181148. The cheque is marked 'NOT NEGOTIABLE'.

Labels pointing to the MICR line:

- Cheque number: 601478
- BSB number (this identifies the bank): 112849
- Account number: 036181148

Advantages of cheques include:

- they are easy to use
- they are relatively safe
- they can be sent through the mail
- they are easy to keep track of
- they have a record (the cheque book butt and bank statement).

Disadvantages of cheques include:

- they use paper (in an age of electronic communication)
- signatures can be forged
- they are time-consuming to process
- some organisations or people may not accept cheques without some form of identification
- they can go astray in the mail.

STRANGE BUT TRUE!

Cheque forgery and fraud take a variety of forms, from counterfeiting cheques to faking signatures. Theft of unused cheque books through the post also occurs. In the United States, the American Bankers Association reported in 2000 that there was an actual loss of US\$679 million in that year due to cheque fraud.

How cheques work

Linda Roberts hires an electrician to do some electrical work. As payment for the work, she writes the electrician, Ron Sparks, a cheque for \$250. Ron takes the cheque to his bank (Apex Bank) and deposits it in his account. His bank account is then credited \$250 (increased by \$250). This is subject to the cheque clearing. Linda has to have enough money in her account to cover the cheque amount. Apex Bank then makes contact electronically with Linda's bank (Vectra Bank) and Linda's bank account is debited \$250 (reduced by \$250, leaving a balance of \$500). This may take a few days. Once the cheque is cleared, Ron may draw on that \$250 from his Apex bank account. Linda meanwhile has a record of the transaction on her cheque butt and on her next statement.

Cashing cheques

The majority of cheques today are deposited into bank accounts. This provides added safety and security. If a cheque is made out to cash, the payee must show proof of identity before receiving cash from the bank. There is an added danger however if a cheque made out to cash is lost.

Stopping cheques

If a cheque is lost in the mail or stolen, you can stop payment on the cheque. This involves contacting the bank (either in person, via the Internet or telephone banking system) and instructing the bank to stop payment. A small fee is charged for this service.

Dishonoured cheques

If a drawer has insufficient funds in his or her bank account to cover a cheque, then the bank may dishonour (or refuse to pay) the cheque. The payee is informed and then must pursue the drawer for the amount.

Activities

- 1 Complete the following passage by using terms from the list below to fill in the spaces.
payee, drawer, signature, date, cleared, stop payment, BSB, instruction, cheque, bank, account, dishonoured

A cheque is an _____ to a person's _____ to pay a sum of money. The person writing the cheque is the _____, while the person to whom the cheque is paid is the _____. All cheques should bear the _____ at the top right-hand corner and a _____ on the bottom right-hand corner. A cheque must be _____ by the bank before that money can be withdrawn from the bank account. When a bank refuses to pay a cheque it is said to be _____. If a cheque is lost or stolen it is possible to _____ of the cheque. The numbers at the bottom of a cheque consist of the _____ number, the _____ number and the person's _____ number.
- 2 Use the example of Linda and Ron ('How cheques work') to draw a flow diagram to illustrate how the banking system operates with cheques. Remember to identify a payee, a drawer and their banks.
- 3 Imagine that you have paid Telstra for a telephone bill. Two weeks after you have posted the cheque, Telstra contacts you to say that they have not received your payment. Outline the steps you would take to deal with the situation and how Telstra might respond.
- 4 What are the similarities between using cheques and cash? What are the differences?
- 5 Copy the cheque on the previous page. On your copy, identify and label the features below.

• Cheque butt • Perforated edge to allow cheque to be torn off • Bank • Payee • Amount in words and figures	• Date • Balance in account • New balance • Drawer's name • Drawer's signature
---	--



Research the history of cheques, finding out when and why they were first introduced. How do you think the use of cheques has changed over the past 20 years? How do you think it will change in the next 20 years?

5 Credit cards and debit cards.....

People often get confused with credit cards and debit cards, especially as they are both made of plastic and appear about the same size.

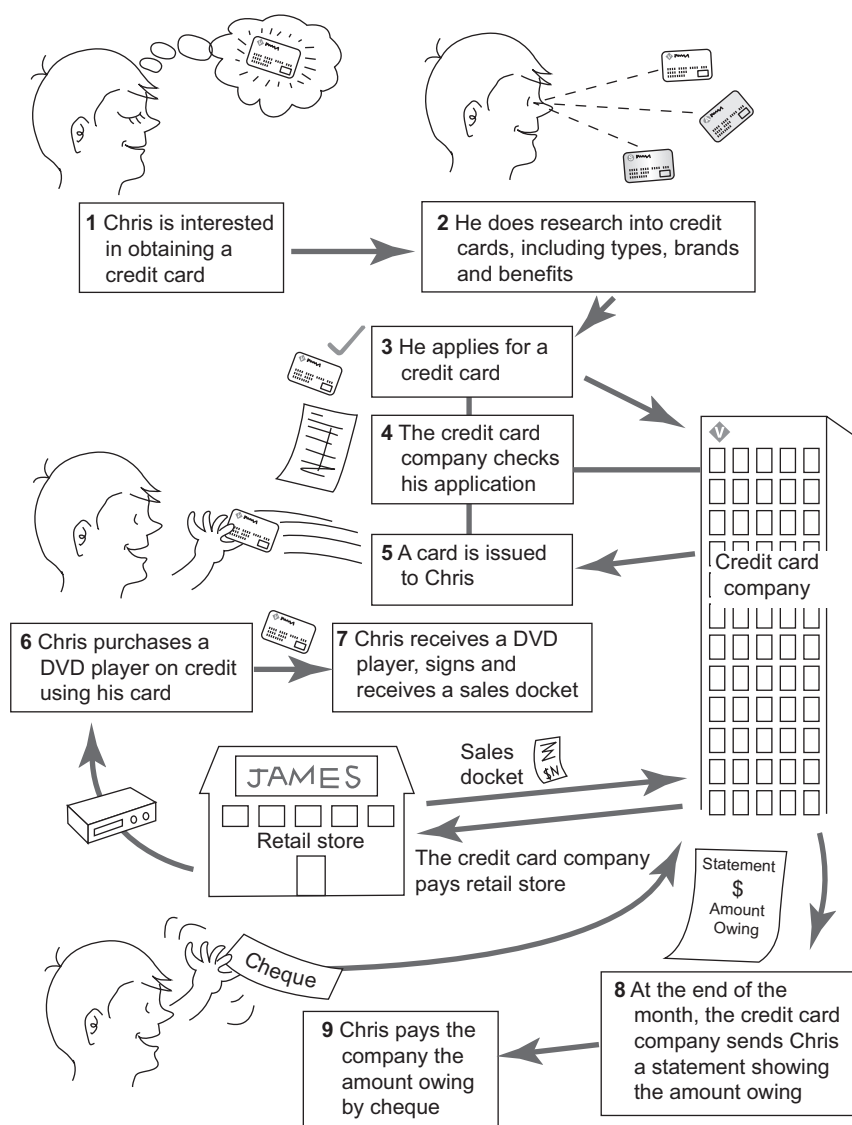
The term 'credit' involves purchasing goods or services and paying for them later or over time. In other words, you can purchase something without having the actual money in your bank account. You are then given time to pay this amount to a credit card company. When you purchase something using a credit card you will sign a sales docket.

At the end of each month, the credit card company sends you a statement, which lists all the credit purchases that you made in that month, the minimum amount that must be paid and the total amount owing (this could include credit purchases from previous months). This statement also requests payment by a certain date. If you only pay the minimum amount and not the full credit amount you will be charged interest.

Credit cards are not necessarily linked to bank accounts. Examples of credit cards are Bankcard, Mastercard, Visa, American Express and Diners Club.

A debit card, on the other hand, is linked to a bank account. When you use a debit card, the funds are immediately deducted from (debited to) your bank account. You may use a debit card at an ATM (Automatic Teller Machine) or at a retail outlet that has an EFTPOS facility (Electronic Funds Transfer at Point of Sale). In this case, money is immediately transferred from your bank account to the store's bank account. You can pay for goods using a debit card and also draw out additional cash. Either way, the funds come out of (are debited to) your bank account.

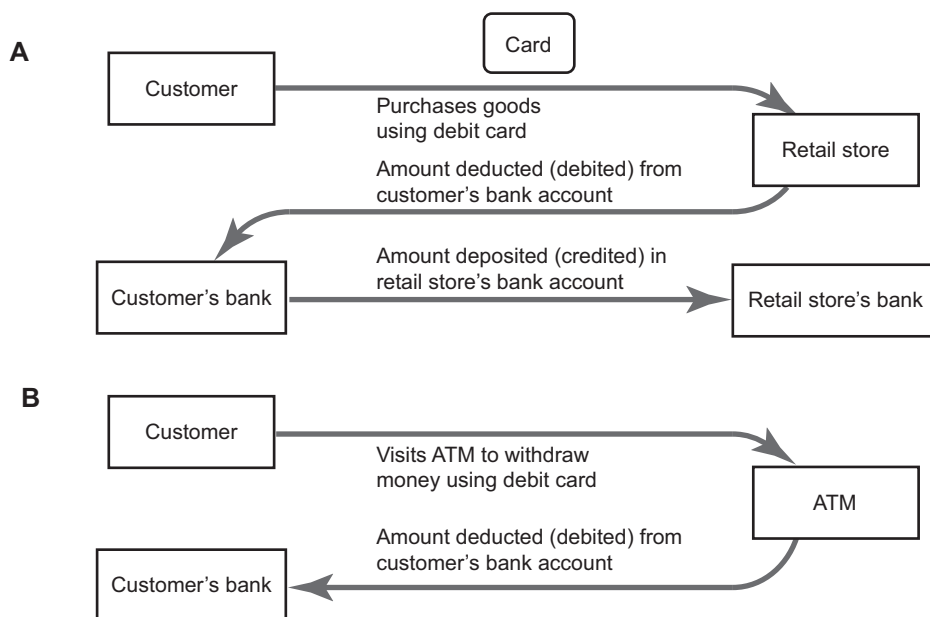
Using a credit card



STRANGE BUT TRUE!

☞ In 2005, Australians owed more than \$30 billion on their credit cards. Americans made US\$1.1 trillion worth of credit card purchases in 1999.

The EFTPOS system



Activities

- 1 Explain, in your own words, the difference between a credit card and a debit card.
- 2 Below is a list of products for sale. For each product say whether you would use your credit card, debit card, cheque or cash to purchase it. Give reasons for your answers.
 - a Hair removal cream advertised on a TV commercial (purchased over the phone)
 - b A loaf of bread and a litre of milk from the local shop
 - c A new motorcycle
 - d The latest Harry Potter book from an online bookstore
 - e 40 litres of petrol
 - f A plumber to repair your toilet at home
- 3 Examine the credit card flow chart on the previous page and then answer the following questions.
 - a What factors should Chris consider before deciding which credit card to get?
 - b What information about Chris do you think the credit card company would want to know before issuing him a card?
 - c Other than a cheque, how else could Chris make payments to his credit card? Which method do you think Chris should choose? Why?
- 4 What is the purpose of a monthly credit card statement? Does all the money owing have to be paid by the due date? If all the money owing is not paid, what will happen next month?
- 5 What is a PIN? Explain its importance in the EFTPOS system.



A thief has stolen a wallet with \$100 cash, a credit card with \$100 credit, a debit card with \$200 credit and a cheque made out to \$1000 cash.

How much of this money can the thief use immediately? Explain your answer.

If you owned the wallet, what steps could you take to minimise the amount of money the thief could use?

6 Telephone and online payments.....

There are now many ways available to consumers to pay for goods and services. The most common one, especially for purchases of small value, is to pay cash in person. If you buy an ice-cream, for example, it is appropriate to pay for it in cash.

When you pay for something, you can:

- pay in cash
- write a cheque and deliver it in person or send it via the post
- pay in cash or with a cheque at a bank or post office
- use a debit card
- use a credit card
- use telephone banking
- use Internet banking
- use a direct debit order.

STRANGE BUT TRUE!

☞ It has been reported that Internet banking fraud costs a major Australian bank around \$1 million a month. The bank recovers less than 30 per cent of losses. The forecast is that annual losses could rise to \$32 million by 2008.

Telephone banking

By using the keypad on your telephone you can not only make payments, but also do most of your banking. Using telephone banking, you can:

- check your account balances, including loan accounts
- check your transaction history
- stop payment on a cheque
- transfer funds from one account to another
- pay bills with BPay
- order a bank statement
- check interest earned on your investment accounts.

Telephone banking allows you to get information or carry out a transaction by ringing your bank and following the prompts to press particular numbers on your telephone keypad. For example, if you want account information you may be prompted to press 1, or to transfer funds to press 2.

Internet banking

Internet banking is now very popular. The great advantage with this method is that you don't have to leave your home to do most of your banking.

Once you have organised to have access to Internet banking (this normally involves the bank issuing you an account number and you choosing a password, see the Internet banking diagram on the next page), you can do everything that you do using telephone banking, plus more, including ordering a new cheque book; transferring money from your bank account to another person's bank account; and analysing your financial transactions on a monthly basis.

Banks use special coding devices or encryption technology to ensure that no one else has access to your banking details.

BPay

BPay is another way of paying bills or accounts using the Internet or telephone. You need to have an organisation's biller code (four or five numbers) and your customer reference number (usually eight or more numbers). These are found on the bill or account that you are paying. You then use your bank's website or telephone service, entering both of these numbers with your computer keyboard or telephone keypad, together with the amount you wish to pay (see the BPay system diagram on the next page).

If you make regular BPay payments to an organisation you can save the details for future transactions (such as Fern Hill City Council in the diagram on the next page).

XYZ Bank Internet banking

Welcome to Internet Banking

To access Internet banking, enter your Member Number and Access password.

Member Number

Access Password

SUBMIT

XYZ Bank Internet banking

Accounts Transfers BPAY Apply Services Change Details Help Contact Us Logout

MS BETTY MARTIN
12 MOP STREET
FERN HILL VIC 3999

Member number: 777666

Enter BPAY details for Member 777666:

From Account:

New Biller:

or select from: Fern Hill City Council
Energy Australia
Telstra
Tax Office Payments

Reference:

Amount:

☒ Pay Now ☐ Pay Later

Due Date (First Payment): Frequency of Payment:

Expiry Date (Last Payment):

NOTE: To schedule a payment, enter a future date.

Submit **Clear**

Activities

- 1 What is one thing you can do using Internet banking that you can't do using telephone banking? Explain why.
- 2 Why might some people prefer to make payments by visiting their bank or a post office?
- 3 What advantages do telephone banking and Internet banking have over other methods of payment?
- 4 When you type in your access password, a series of dots appear in the space. Why is this?
- 5 Use the Internet banking BPay page above (the second diagram) to answer the following questions.
 - a Describe what is happening on this page. Think about what is being paid and to whom, and also what information is required.
 - b How would the payee identify the payer and know how much has been paid?
 - c What is the difference between the biller code number and the reference number? Why are both numbers needed?

7 Buying and selling online.....

Buying and selling goods through the Internet is becoming increasingly popular and there are many websites that offer an online buying service.

By using large international online trading companies, you can buy or sell goods using an auction system. On these auction sites, goods are often categorised, for example, antiques, computers, toys, coins, stamps, electronic goods, jewellery and sporting goods.

Buyers benefit from the large number of items for sale every day, while sellers are attracted by the large market with access to a huge number of potential buyers.

STRANGE BUT TRUE!

Online auction sites can sometimes list very strange items; some of these have included a UFO detector, the meaning of life, a ghost in a jar and a vampire-killing kit.



Online auction site

home | pay | register | sign in | services | site map | help ?

[Browse](#) | [Search](#) | [Sell](#) | [My eBuy](#) | [Community](#)

Welcome eBuy **Joinnow!** *it's fast, easy and free!*

Here's how you can buy and sell on eBuy ...

1 Find *search for an item*

Search for:

☐ Items in Australia ☐ Items world wide
[Search tips](#)

 **You must register in order to buy or sell on eBuy. It's easy and free.**
 ? [How to register](#)

2 Buy *how to place a bid*

When you have found an item you want to buy, look at the item details, how to pay and seller's feedback.

Place a bid
Put in the maximum amount you want to spend. eBuy will then bid for you up to your limit. This is called proxy bidding.

Review feedback
This feedback is based on members' past transactions and gives you information on a particular seller.

3 Pay *how to pay for an item you have won*

You will get an email with all the payment and seller details.
You can pay by bank deposit, money order, cheque, cash or pay pal.
For amounts over \$30, you can pay with Escrow - an independent third party that will hold your money in trust until you have received, inspected and approved the goods.

Receiving your item
Once the seller has received payment, they will send your item.
When you have received your item, you can leave feedback for the seller.



Online auction site

home | pay | register | sign in | services | site map | help ?

[Browse](#) | [Search](#) | [Sell](#) | [My eBuy](#) | [Community](#)

Sell your item - Sign in

New to eBuy?
If you want to sign in you need to register first

Already an eBuy user?
New to selling? Do the following:
[Learn how to sell](#) [Learn about listing policies](#)
[Review the seller's checklist](#) [Learn about selling fees](#)
Enter your user ID and password to start selling
User ID [Forgot your user ID?](#)

Activities

- 1 Explain what buying and selling online means.
- 2 Use the eBay website page (on the previous page) to answer the following questions.
 - a Explain the steps involved in buying something listed on the site.
 - b What is proxy bidding?
 - c What is Escrow?
- 3 Some online auction sites provide feedback on members' past transactions.
 - a Why do you think it is important to review a seller's feedback before buying something from that person?
 - b Why would it be a good idea for you to leave feedback for a seller?
- 4 List three advantages and three disadvantages of buying through an online auction site rather than buying from a retail store.
- 5 Access an online auction site. Choose a category, for example, sporting goods or musical instruments. Then select a specific item, such as tennis racquets or guitars.
 - a What are the different categories listed for the specific item?
 - b Choose the item that has the most bids. What does this mean?
 - c What is the current price for this item?
- 6 On the same site, go to the page that tells you how to sell an item.
 - a What are the main points in learning how to sell?
 - b What are the selling fees and how do they operate?
- 7 Look at the sign-in page (on the previous page) to answer the following questions.
 - a What do you need to do if you want to sell something online and are a new user?
 - b Explain the process of registration. Why do you think it is necessary?
 - c What could you do if you wanted to know more about selling online?



Working in a group, choose something that you would all be interested in buying. Select an online auction site. Search for your chosen item and look at what is available.

Discuss which one you think is the best value for money and write one paragraph explaining the reasons for your choice.

8 Buying wisely

Have you ever bought something and later regretted it? Did you forget to check out the alternatives? Did you spend too much money? Did you later find out that you could have bought it at a much cheaper price? Everyone has probably done one or more of these, so it is important to analyse just what is involved in buying wisely.

Consumers operate in a commercial economy by earning (or receiving) a money income and using it to satisfy needs and wants. With a limited amount of money and unlimited needs and wants, consumers must therefore choose wisely in order to gain the maximum satisfaction for their money. So what is involved in buying wisely? Here are some useful tips:

- Clarify the purpose of your intended purchase. Ask yourself: Why do I want it?
- Are you buying on impulse, or have you really thought about the purchase? If it is a hamburger you want because you are hungry, this may not require much thought, but if you want to buy a car or some expensive clothes you may need to think about it more.
- Check the price. Does it truly reflect the likely level of satisfaction you will derive from the purchase?
- Check the quality. Is it better to purchase a more expensive brand or is a cheaper brand better value for money?
- Check other brands and visit other stores. This is called comparison shopping. Obviously this is more important for relatively expensive items than it is for buying, for example, a milkshake. There are many places where you can purchase goods, such as discount stores, factory outlets and local markets. You can also check newspapers, magazines and the Internet.
- Can you afford to buy this item? Is it within your budget? The consequences of poor budgeting can be quite dramatic.
- Should you consider what alternative uses you could put your money towards? This is a good check to see if you really do want something.

There are several key factors that affect what we buy. Price is an obvious one and so too is the state of our finances – how much money we have and how much we are going to allocate to spending. Other factors that influence what we buy include:

- Our age: older people usually have different wants and needs from younger people.
- Our gender: women and girls sometimes want to buy items that are different from men and boys, however many of the same items are bought regardless of gender.
- Advertising and marketing: we are all influenced in some ways by advertisements and by marketing schemes such as sales and special offers.
- Convenience: we may decide to buy something at a local shop because it is closer, even though the item may be more expensive than in a supermarket located farther away.
- Service: because some items that we buy may be faulty or may break down, we may choose to buy from a retailer that provides after-sales service. We may also want to know whether an item has a guarantee or a warranty.
- The environment: more people today are becoming conscious of the environment and are purchasing goods that are environmentally friendly. Some of these products have 'green labels', which indicate that a product has not and will not harm the environment.



Activities

- 1 Penny has \$500 to spend on a digital camera. What steps could Penny take to get the best value for her money?
- 2 Jack wants to buy a second-hand car. He has looked at the 'cars for sale' section in the local newspaper.
 - a Where are two other places Jack could look for a second-hand car?
 - b What are three things that Jack should consider before he buys a second-hand car?
- 3 Robyn is visited by a door-to-door salesperson selling encyclopaedias. Robyn has always been interested in buying a set of encyclopaedias.
 - a Do you think Robyn should buy the encyclopaedias from the salesperson?
 - b What are three important questions that Robyn should ask before buying?
 - c Where else could Robyn buy encyclopaedias?
- 4 Ahmed wants to travel overseas to see his aunt and uncle. He has checked airfares on the Internet, but is not sure whether he should buy the tickets online.
 - a What problems might occur if Ahmed buys an airline ticket over the Internet?
 - b How else could he buy a ticket?
- 5 Helen has been saving her hard-earned money to buy an expensive dress for a cocktail party. What steps should Helen take in order to buy the right dress for the money she is willing to spend?
- 6 Jarrod has just received a \$1000 gift from a rich uncle and he's not sure what to spend the money on.
 - a What should Jarrod think about before spending the money?
 - b What would you spend \$1000 on and why?
- 7 List three items that would be bought mostly by women or girls.
- 8 List three items that would be bought mostly by men or boys.
- 9 List three items that would be bought mostly by older people.
- 10 Explain why checking after-sales service and guarantees and warranties is important.
- 11 What types of products might be environmentally unfriendly? What could a wise consumer do about these products?



Working in groups of four, follow these steps to conduct a 'comparison shopping' survey.

- *Select a product, for example, a digital camera or mobile phone.*
- *Find four different brands of the product.*
- *Find out the price of each brand.*
- *Find out the features of each one.*
- *Decide which brand is the best value for money.*

9 Protection for consumers.....

'Caveat emptor' is an old legal phrase that means 'let the buyer beware'.

As consumers today, we have more rights than we did 50 years ago. We are provided with many protective measures that are written into law. Below are some of these rights.

Consumer shopping rights

Refunds: consumers are entitled to cash refunds or an exchange if the goods they buy are defective or faulty. If you change your mind about a product and want your money back, the store is not legally obliged to give you a refund. However, many stores do give refunds as an act of goodwill (in the hope you will visit their store again).

Cooling-off period: consumers are protected against door-to-door salespeople who visit uninvited. If you buy a product and later change your mind, you are entitled to cancel the deal. The cooling off period varies from state to state, but is generally between five and ten days. The cooling-off period only applies to contracts of \$50 or more in all states (except New South Wales where there is no minimum). It also does not operate if you invite a salesperson to visit your home.

Guarantees: all goods for sale must meet a basic level of quality and must 'do what they are supposed to do'. For example, if you bought a watch you would expect it to tell the time, regardless of how nice it looks on your wrist. Guarantees also contain specific conditions, for example, a 12-month guarantee to repair the product if a fault develops during that period. Whatever the specific guarantees, there is still the implied guarantee of basic quality (as mentioned above). A warranty is basically the same as a guarantee.

Buying goods online: the rights of the consumer shopping online are also protected. There are, however, additional risks. For example, you may be dealing with an overseas company whose reputation and honesty you cannot check. Therefore, it is important to check an online seller's contact details and terms and conditions of sale. Security and privacy are also important to avoid your personal details being made available to others. Details about refunds, returns and guarantees should also be checked. Dealing with an overseas company has additional risks as some goods, for example, electrical goods, have different systems that may not work in Australia.

STRANGE BUT TRUE!

If you have ever received suspicious requests for money via e-mail or seen schemes or products that seem too good to be true advertised on a website, or have had problems getting a refund for an item bought online, then you can report this to the Australian Competition and Consumer Commission. On their website, you can fill out the 'Slam a cyber scam' complaint form.



How to complain

If you are unhappy with a product you have purchased, here are some steps that you can take:

- Go to the store where you purchased the product. Explain your case clearly and politely and ask for a replacement or repair. If you are unsuccessful, you can ask to speak to the manager or person in charge.
- Write a letter to the store outlining your complaint.
- Lodge an official complaint to the consumer affairs or fair trading organisation in your state.
- Take your complaint to the Small Claims Tribunal. Your case may be heard with a representative of the store and a referee who acts as a judge. The aim of the hearing is for the two parties to reach a mutual agreement.
- Contact the ACCC (Australian Competition and Consumer Commission), a federal government body, or the ombudsman in your state.
- Approach the media (radio, television or newspapers).

Activities

- 1 What are a consumer's rights with regard to refunds?
- 2 What is the meaning of the term 'caveat emptor'?
- 3 How have consumer rights changed over the last 50 years?
- 4 Explain what is meant by a 'cooling-off period'. When doesn't it apply?
- 5 Explain the meaning of a guarantee. What is the difference between an implied guarantee and a specific guarantee? Provide examples.
- 6 What are the precautions that a consumer should take when buying online? Provide reasons for each precaution.
- 7 Explain why it is important to know your rights as a consumer.
- 8 Imagine that you have just purchased a new digital sound system at a retail store. You bring it home and find it doesn't work.
 - a What is one thing that you could do?
 - b If this first option doesn't work, what else can you do?
 - c Write a complaint letter to the store. Explain clearly and politely what is wrong with the product and what you expect the store to do about it. (Hint: it is important to clearly describe the product and the fault.)



Find out more about the consumer protection agencies in your state. Choose two of these organisations and write two paragraphs describing how each helps consumers.

10 Borrowing money.....

If you have insufficient money to cover a purchase, then you can borrow the money. It is important to be aware that this money must be repaid over time and that you will be charged interest. The interest is a percentage of the loan amount and is paid to the lending authority for the use of their money.

When you borrow money you enter into a legal contract with the financial institution. The institution may be a bank, a credit union, an insurance company or any organisation licensed to lend money. By law, loan contracts must be easy to read and understand; outline the rights and responsibilities of the borrower; and set out all the costs involved and details of the loan calculation.

How it works ...

Judy Jones wants to buy a new car for \$30 000. Judy has already saved up \$5000 to put towards the purchase. The calculations for her loan might appear like this:

Cost of car:	\$30 000	Deposit:	\$ 5 000
Amount owing:	\$25 000	Amount to be borrowed:	\$25 000
Length of loan:	3 years or 36 months	Interest rate:	6%
Total interest repayable:	\$4 500 ($\$25\,000 \times 6\% \times 3 \text{ years}$)		
Total amount repayable:	\$29 500		
Monthly repayments:	\$819.44 ($\$29\,500 \div 36 \text{ months}$)		

All of this information must be available to Judy so that she knows exactly what she is obliged to pay, what the rate of interest is and the length of the loan.

Personal loan application form

ABCD Bank

Loan amount required Length of loan (months)

Personal details

First name Last name

Date of birth (DD/MM/YY)

Educational qualification

Residential address

Telephone number Email

Residence type

If renting (\$ per month) Years at current residence

Employment details

Employer name Office address

Telephone number

Gross monthly salary (\$) Net monthly salary (\$)

Years in current job Total years of work experience

Other loan details

Other loans

Other loan instalments (\$ per month)

Credit card details

Name of card Name of bank No. of years card held ..

Bank details

Name of bank Branch

Type of account Account held for duration of

Terms and agreements for approval on the Internet

The applicant specifically acknowledges and agrees that:

1. All statements made in this application are true and correct, and are made for the purpose of obtaining the loan indicated herein.
2. The loan approval will be subject to satisfactory verification of residence and place of business/employment.
3. The loan approval will be subject to documentary proof of income, identity documents, completed loan application form, exact nature of employment/business type and bank statements.
4. Verification or re-verification of any information contained in this application may be made at any time by ABCD Bank, its agents and assigns, either directly or through a credit reporting agency, and this application will be retained by ABCD Bank, even if the loan is not approved.
5. ABCD Bank, its agents and assigns will rely on the information contained in the application and applicant has a continuing obligation to amend and supplement the information provided in this application, if any of the material facts stated herein should change prior to closing.
6. Other relevant information as requested by the bank's credit unit will be provided.
7. The loan disbursement shall be subject to signing a formal application form, loan agreement, PDCs, etc. All loans at the sole discretion of ABCD Bank.

Applying for a loan

Financial institutions risk their money when they lend to customers and they want their money repaid according to the conditions of the loan. Therefore, financial institutions have to be certain of a customer's ability to repay a loan.

To do this, when a person applies for a loan, he or she is asked many questions about his or her financial situation. This includes a person's monthly or yearly income, his or her credit card details and details of any other loans that he or she may have with other financial institutions.

Each financial institution has a different policy regarding the level of risk and their assessment of the applicant's ability to pay. For example, some loan application forms ask for full details of an applicant's assets (the things owned) and liabilities (money that is owed), and some even require an estimate of an applicant's monthly budget, including the average amounts spent on electricity and telephone, clothes and food, entertainment and so on.

Most financial institutions will now allow customers to apply for a loan online. An example of a simple online loan application form is on the previous page.

Activities

- 1 What are three situations when you might need to borrow money?
- 2 What safeguards should you consider before you enter into a loan contract?
- 3 What are the three main requirements of a loan contract?
- 4 Explain what is meant by the term 'interest'. How does it apply to a loan?
- 5 Complete the following loan calculations.
 - a Don Giovanni wants to borrow \$400 000 to start up a plumbing business. He wants to pay it off over five years at an interest rate of 7%. Calculate the total amount repayable and his monthly repayments.
 - b Diana Drill is getting married and needs a loan of \$5000 to buy a wedding dress and other important items for the wedding. Calculate the total amount of her repayments if she repays the loan over two years and the interest rate is 5%.
 - c Dean and Lisa Martin are buying a new house worth \$550 000. Dean already has savings of \$10 000 and Lisa has savings of \$15 000 to put towards the house. They want to pay the loan off over 10 years at an interest rate of 6%. Calculate the amount they need to borrow and their monthly repayments.
 - d Imagine that you are a lawyer earning a salary of \$150 000 a year. You want to buy a new house for \$800 000 and you are prepared to repay the loan over 15 years at an interest rate of 9%. Complete the online loan application form (on the previous page) for the ABCD Bank, using either your own or made up information. Calculate your monthly repayments.



Search for loan calculators on the Internet (most bank websites have them). Imagine that you earn \$50 000 per year and have saved \$30 000. Find out how much you can borrow to buy a house using one of the loan calculators. Do you think loan calculators are useful? Why?

11 Budgeting.....

Budgeting is an important aspect of your life. A budget is simply a plan of your regular income and expenses over a period of time. You may have a weekly budget, a monthly budget or a yearly one. Businesses and governments also prepare budgets as they need to plan their financial dealings ahead of time. Budgets help people and organisations to achieve goals, especially long-term goals.

Preparing a budget

To prepare a budget you need to follow a few simple steps:

- Define your goals: for example, you may want to buy a new bicycle or a second-hand car, go on an overseas holiday, or you may want to buy some new clothes or a new stereo.
- List all your regular sources of income: these might include pocket money or your weekly wages if you have a job. You may also expect to receive occasional gifts, perhaps from relatives on your birthday. You may also earn money doing odd jobs.
- List all your expenses: for a personal budget, these can be ordered into categories, such as food, clothing, fares, entertainment, sports expenses and credit card repayments. If you are preparing a household budget you would need to add things like electricity and telephone charges, car expenses, rent or house repayments, rates and insurance.
- Set aside an amount of money for unexpected expenses or emergencies.

A budget will help you work out how much you are likely to save over a certain period of time. This may involve making adjustments to how much you spend. You can also build the amount you want to save into your budget.

When you analyse your income and regular expenses over time, you will start to see if you are over-committed or if you are able to save some of your income to achieve your goal.

Spreadsheets

Spreadsheets are a useful way of recording financial transactions and making useful calculations, especially for a budget. A spreadsheet is computer software that allows you to enter information in columns and then make calculations using a formula.

A spreadsheet looks like an alphanumeric grid, with letters of the alphabet across the top and numbers in sequence down the left-hand side, creating a series of cells that can be identified as A1, H4 or M25.

At the top of the spreadsheet is a space for entering a formula so that you can make calculations. For example: M25 = M24+M23+M22 or M25 = J25+K25+L25

In the example below the formula is A5=SUM(A1:A4) There are more complex formulas than simple additions, such as calculating interest rates and loan repayments.

There are also many more functions to a spreadsheet, including sorting words alphabetically in ascending or descending order. The help menu of the software will help you learn more about using spreadsheets.

A5		=SUM(A1:A4)										
	A	B	C	D	E	F	G	H	I	J	K	L
1	50											
2	40											
3	30											
4	120											
5	240											
6												
7												
8												
9												

Using a spreadsheet to budget

Imagine that you have decided to start a budget at the beginning of April. Let's assume that you receive \$20 a week pocket money and that you also have a job at McDonalds that earns you \$120 a week. Your grandparents are coming in two weeks and they always give you \$30 when they visit.

This income can be displayed on a spreadsheet. You can then list your expenses according to certain categories (see below).

By using the formulas on the spreadsheet you can calculate your total income each week and your total expenses each week. The difference between the income and expenses will be your savings. If your expenses exceed your income, then your savings will be negative. If you want to save, then you will need to lower your expenses by spending less on one or more things.

On the first spreadsheet below, the calculation in the cell highlighted (F19) shows up in the formula bar as =F7-F18. You can use the formula bar to make a variety of calculations and analyse your budget.

Budgets are very flexible – you can do a weekly, monthly or yearly budget. Families generally use a yearly budget as they have annual expenses such as car insurance and registration fees.

F19			=F7-F18									
	A	B	C	D	E	F	G	H	I	J	K	
1		My personal budget										
2		4-Apr	11-Apr	18-Apr	25-Apr	2-May						
3	Income											
4	Pocket money	20	20	20	20	20						
5	McDonalds job	120	120	120	120	120						
6	Other income			30								
7	Total income	140	140	170	140	140						
8												
9												
10	Expenses											
11	Transport	15	15	15	15	15						
12	Birthday presents			40								
13	Sports expenses	10	10	10	10	10						
14	Entertainment	25	25	25	25	25						
15	Telephone bill				60							
16	Food/Snacks	30	30	30	30	30						
17	Clothes	40	40	40	40	40						
18	Total expenses	120	120	160	180	100						
19	Savings	20	20	10	-40	40						

Activities

- 1 What is a budget and why is making one important?
- 2 Explain in your own words the five steps involved in preparing a personal budget.
- 3 What is a spreadsheet and why is it such a useful tool for preparing a budget?
- 4 Examine the spreadsheet for the personal budget above. Why is the week of 25 April a potential problem and what can be done about it?
- 5 Use a spreadsheet to prepare your own personal budget.



Work in groups to prepare a budget for the Hope family. Their income and expenses are listed below. Work out how much money they could save in a year for a holiday.

Monthly

Income \$5000

Rent \$1400

Insurance \$180

Food \$800

Childcare \$260

Medical bills \$100

Car expenses \$200

Entertainment \$400

Loan repayments \$350

Utilities \$200

Transport \$100

12 Changing prices.....

Have you ever noticed that the prices of goods and services often go up and down? For example, prices can be reduced in the short-term when stores have a sale, a special promotion or offer a discount.

As a consumer, you should know whether these reductions are genuine. For example, when you see a sale sign with '50% OFF', you should be asking: '50% off what?' What was the price before the offer? Is the discount genuine? Wise consumers need to be well educated and aware of the marketplace before buying.

Long-term changes in prices are also worth studying. A loaf of bread was much cheaper 30 years ago than 10 years ago and cheaper than the price today. This is an indication that the general level of prices is gradually rising. But are we necessarily worse off? To work this out it is important to look at what is happening to average wages and general income levels. History has shown that they too are rising.

To measure price levels in relation to wage levels you can use a statistical tool called the Consumer Price Index or CPI. This helps you to see if goods at 'real' or 'constant' prices have actually risen or fallen relative to wage levels. For example, some goods have increased, such as petrol and some food items, while others have actually fallen in price in real terms. For example, cars, airfares and stationery items such as pens and paper have been consistently falling in price in real terms.

You can also measure whether real prices are rising or falling by calculating how many days the average worker must work before he or she can buy a new car. That figure has dropped significantly over the past 10 or 20 years.

What is the CPI?

The Consumer Price Index or CPI is an official measure of the change in the level of prices. It measures the change in prices of a variety of goods and services over a three-month period. These items include the goods and services typically bought by Australian households, including food, clothing, household furniture and appliances as well as education, transport and health.

The index is calculated by assigning a value of 100 as a base, so that an index of 105 would indicate that prices rose by 5%. The CPI is published every quarter, in March, June, September and December. The CPI is also used as a measure of inflation (see below).

CONSUMER PRICE INDEX ITEMS – DECEMBER QUARTER KEY FIGURES		
	Sept qtr 2004 to Dec qtr 2004	Dec qtr 2003 to Dec qtr 2004
Weighted average of eight capital cities	% change	% change
Food	1.4	1.7
Alcohol and tobacco	0.7	3.5
Clothing and footwear	-1.4	-1.9
Housing	0.9	3.9
Household furnishings, supplies and services	0.6	-0.1
Health	-0.6	5.0
Transportation	1.4	4.6
Communication	0.3	1.2
Recreation	0.8	-0.2
Education	0.1	7.7
Miscellaneous	0.5	3.0
All groups	0.8	2.6
All groups excluding housing	0.7	2.3

Source: Australian Bureau of Statistics 15 January 2005

What is inflation?

Inflation is a rapid rise in the level of prices over a period of time. The rate of inflation is normally an annual measure and takes the CPIs of four successive quarters. For example, if the CPI for March was 1.5%, for June 1.0%, for September 1.2% and for December 1.3% the rate of inflation would be 5%. It is possible that prices in one quarter could actually drop but this would most likely be offset by rises in the other three quarters.

CPI MOVEMENTS – LONGER TERM SERIES:

CPI All Groups, Weighted Average of Eight Capital Cities, Index Numbers(a)

Year	31 March	30 June	30 September	Quarter ending 31 December
1985	68.1	69.7	71.3	72.7
1986	74.4	75.6	77.6	79.8
1987	81.4	82.6	84.0	85.5
1988	87.0	88.5	90.2	92.0
1989	92.9	95.2	97.4	99.2
1990	100.9	102.5	103.3	106.0
1991	105.8	106.0	106.6	107.6
1992	107.6	107.3	107.4	107.9
1993	108.9	109.3	109.8	110.0
1994	110.4	111.2	111.9	112.8
1995	114.7	116.2	117.6	118.5
1996	119.0	119.8	120.7	120.3
1997	120.5	120.2	119.7	120.0
1998	120.3	121.0	121.3	121.9
1999	121.8	122.3	123.4	124.1
2000	125.2	126.2	130.9	131.3
2001	132.7	133.8	134.2	135.4
2002	136.6	137.6	138.5	139.5
2003	141.3	141.3	142.1	142.8
2004	144.1	144.8	145.4	146.5

(a) Base of each index: 1989-90 = 100.0

Source: Australian Bureau of Statistics 15 January 2005

Activities

- 1 Explain why prices change in the short term.
- 2 Complete the following passage using the terms below.
quarter, inflation, petrol, Consumer Price Index, pens, prices, fresh fruit, electrical goods
The letters CPI stand for _____ which measures the increase in _____. It is measured every _____ and examined annually is a measure of _____. Some goods and services have increased in price, such as _____ and _____, while others have decreased in price in real terms, such as _____ and _____.
- 3 How is the rate of inflation measured? Why is it important?
- 4 Study the table showing the CPI items (on the previous page).
 - a Explain the difference between the two columns of figures.
 - b What items in the CPI actually fell in price between September and December 2004?
 - c What was the annual rate of inflation from December 2003 to December 2004?
- 5 Study the table showing CPI movements over time (above).
 - a Explain why the figures are less than 100 before 1989–90.
 - b What was the percentage increase in prices in the March quarter from 1990 to 2004?
 - c Explain how these figures might be useful to governments and business people.



Use the Australian Bureau of Statistics website to find out which items do not appear in the CPI 'basket of goods'. Explain why the CPI is an accurate reflection of the cost of living.

13 Investing money.....

Investing is simply using any spare money that you have for financial gain. Instead of putting money in a jar or under the bed at home, you can invest it in a number of ways. For example, you can deposit money in a special investment bank account that earns interest; you can buy shares in a company; or you can buy real estate in the hope that you can sell it later and make a profit.

In order to invest money wisely, you can seek advice from a financial planner or you can make your own investment decisions based on your calculations of the expected rate of return.

Below are some examples of investment options.

BCD BANK

Investment Accounts

Term Deposit	Interest Rates
1 year	3.5%
2 years	3.8%
3 years	3.9%
4 years	4.0%
5 years	4.2%

MANAGED FUNDS

ERX Fund	5.16%
ARD Fund	4.98%
AM TRUSTEES	4.38%

PROPERTY GUIDE

Maidstone Park

12 km from CBD

	No. sold	Median Price \$'000 2004	Median Price \$'000 2003	12 month change	5 year change
Houses	5	592	613	-3.4	14.6
Units	58	269	300	-10.4	7.6

SHARE PRICES

23 February 2004

Despite the continuation of a good reporting season, the share market succumbed to profit taking yesterday. The ASX 200 fell 14.9 points to 4153.3 and the All Ordinaries 15.2 points to 4138.4. Financial and industrial companies lost ground while energy stocks rose. Among the biggest losers were chemical and mining companies. EPR Oil Company lost 4.1%.



Activities

- 1 What do you think is the message of the cartoon on the previous page?
- 2 Referring to the interest rates in the term deposits, what do you think is the main advantage of investing your money in a bank term deposit?
- 3 Read the description of the share prices from 23 February 2004.
 - a What is one advantage and one disadvantage of investing money in the share market?
 - b Why do you think some shares are riskier than others?
- 4 Look at the property guide for Maidstone park.
 - a Why do you think people invest in the property market?
 - b What is one advantage and one disadvantage?
- 5 What are managed funds? Why might they be popular with investors who are not familiar with financial markets?
- 6 Yvette has \$10 000 to invest for 12 months.
 - a Based on the information on the previous page, what would be a better investment: managed fund, term deposit or the share market?
 - b Explain why a property investment would be unsuitable.
 - c If Yvette invested her \$10 000 in a term deposit with the BCD Bank, what would she expect her investment to return?
 - d If Yvette decided to invest in the ERX Managed Fund, how much better off would she be?
- 7 Brett is looking for a long-term investment in which he wants to make money over a five-year period. What do you advise?
- 8 Brett decides to buy a unit in Maidstone Park. What sort of return might he expect based on the figures on the previous page?
- 9 Brett decides not to buy a unit, but instead puts his money into a five-year term deposit with the BCD Bank.
 - a What would be his likely return?
 - b How does that compare with the property investment?
 - c What are the risks Brett takes if he decides to invest in property?
- 10 Based on the share market information on the previous page, what is the best thing for Brett to do with his money? What are the risks?



Working in a group, examine the finance section of a daily newspaper and discuss the best opportunities for both short-term and long-term investments. Share your findings with other groups.

14 Buying a car

Imagine that you have decided to buy a car. It would be very unwise to go out and buy the first car you see without doing some important research. New cars are naturally likely to be more reliable than used cars, but they are also very expensive. Here are some generally agreed tips on buying a second-hand car.

- Decide how much money you want to spend.
- Research car insurance: there are two types of car insurance. The first is comprehensive insurance. This insures your car against damage. This means that if you smash your car and it is insured for \$10 000, the insurance company will assess the damage and pay some or the entire amount depending on the damage. The second is called third party property insurance. This covers you for any damage you do to another person's car. It is cheaper than comprehensive insurance as your own car is not covered. This should not be confused with compulsory third party insurance (sometimes known as a 'Green Slip'). This insurance is paid for as part of your car registration and is designed to compensate people injured in car accidents, regardless of fault.
- Research finance if you need to borrow money to buy the car you want. This involves checking interest rates and general borrowing terms. It is also important to budget for the loan repayments.
- Be aware of additional costs of motoring. These include costs of petrol, registration and insurance, servicing and repairs, spare parts and the depreciation of your car's value. When you want to sell the car you will find its value has dropped and you need to factor this into your calculations.
- Check the details of the car, such as the year and make. This can be found on the compliance plate, a small metal plate inside the car bonnet. It records the make and model of car and the month and year the car was manufactured.
- Check if a warranty is being offered and what the details are.
- Remember that there are other costs. For example, a new car will have a delivery fee, and a used car will have to be transferred into your name, which involves a transfer fee and a 3% stamp duty fee.
- If you are buying a second-hand car a vehicle check is a good idea. The NRMA, the RACV and other motoring organisations conduct inspections for a fee. Licensed dealers must guarantee that the cars they sell are roadworthy, registered and that no money is owed on them.

Where to buy?

The options available include:

- A licensed dealer: this method may be more reliable, especially if a warranty is offered, but the disadvantage is that prices are generally higher.
- Private sale via newspaper advertisements: you may get a bargain in a private sale, especially if the seller is in a hurry to sell and you can negotiate a price, however you take a risk on the quality of the car.
- Sale via the Internet: there are numerous websites that list cars for sale. This method is increasing in popularity as more people use the Internet for many different types of transactions. Some of the websites will have useful hints to assist you, however the same risks apply as with a private sale.
- A car buying service: some companies and credit unions offer a service (sometimes free) to search for a car for you. This is especially useful if you are busy and don't have time to look.



Selling your car

If you want to sell your car the first thing you need to do is find out how much it is worth. You can research this by checking the cars for sale advertisements in the newspapers and/or the Internet.

You can choose to sell your car privately and hope you get someone to buy or you can approach a dealer. A third option is to trade-in your car on a newer model. If you are selling privately you need to make sure you are paid in cash or with a bank cheque in case the buyer's cheque is dishonoured (bounces).

Whichever method you decide it is always useful to wash and clean your car to make it presentable. Below is an example of a used car advertisement.

HOLDEN

Commodore 4d sedan 1996

Metallic green, auto, air cond, psteer, alloy whls,
c'locking, airbags, full serv hist, 118 000 kms ABC 123
\$6500 ono. Phone: 000 00000

Activities

- 1 Explain why it would be unwise to buy a second-hand car without doing some research first.
- 2 Compile a table showing the main tips for buying a used car and a reason for each.
- 3 What is the compliance plate of a car? Where is it and why is it there?
- 4 What are three options for buying a used car? Give one advantage and one disadvantage of each.
- 5 What are the options for selling a car? Give one advantage and one disadvantages of each option.
- 6 Examine the mock newspaper advertisement for the Holden Commodore. Write out the advertisement in full, expanding all the abbreviations.



Compare the Holden Commodore advertisement above with four Holden Commodore (1996 sedan) advertisements in the newspaper and answer the following questions.

- Is the car overpriced or cheap?
- Does it have features that the other cars don't have?
- Do the other advertisements mention any features that aren't listed above?

15 Renting a place to live.....

Many people at some time in their lives face the prospect of finding a place to rent. There are legal requirements when renting – for both those who are renting and those who are offering a place for rent.

Some important terms that you may come across when renting a place to live:

- **Tenant:** the person who occupies a property and pays rent.
- **Landlord:** the person who owns a property and leases it to a tenant.
- **Lease:** the legal document that is an agreement between a landlord and a tenant. It states the terms under which the agreement is made.

Below are two advertisements for properties to rent and an example of a residential tenancy agreement.

Elsie Bay
\$400 pw

18 Ocean Road
Elsie Bay
Fabulous, well presented 2 br apartment, 2nd st.,
stunning views, new carpet, A/C, gourmet kit.,
open plan, refurb.bthrm. CIs to shps.
Kingstown Real Estate Tel 008 8889

Sunny Hills
\$275 pw

11 Lockwood Crescent
Sunny Hills
Quiet, 3br house, lrg living, new kitchen, birs, Indry,
lug. Easy walk to bus stop.
KPG Realty Tel 889 0900

RESIDENTIAL TENANCY AGREEMENT

Terms of Agreement

This agreement is made on / / . . . at

BETWEEN

LANDLORD

Name/s:

Address:

.

AND

TENANT

Name/s:

Address:

.

PREMISES

The landlord gives the tenant the right to occupy the premises at

.

.

The premises are furnished/unfurnished.

RENT

Agreed rent \$ per week, payable in advance

SIGNED

Landlord

Tenant

Activities

- 1 Why do you think people prefer to rent a house or apartment rather than buy?
- 2 Why do you think some people prefer to rent an apartment rather than a house?
- 3 Study the advertisement on the previous page for the house in Sunny Hills.
 - a Write out the advertisement in full, expanding all the abbreviations.
 - b What would you consider to be the features most likely to appeal to people looking to rent this place?
 - c Describe the type of person who might be attracted to a place like this.
- 4 Study the advertisement on the previous page for the apartment in Elsie Bay.
 - a Write out the advertisement in full, expanding all the abbreviations.
 - b What would you consider to be the best features of this apartment to a prospective renter?
 - c Describe the type of person who might be attracted to a place like this.
- 5 Studying the two advertisements, which one appears to you to be the best value? Do you think the more expensive place is worth the extra money? Why?
- 6 When you rent a property, you enter into a lease agreement (see previous page). What do you think is the purpose of this agreement?
- 7 What do you think might happen if you rented a property and failed to pay the rent?
- 8 What basic rights does a tenant have when renting a property?
- 9 What are the rights of a landlord?
- 10 Explain how disputes might arise between a tenant and a landlord. How might they be resolved?



Imagine that you are looking to rent a two-bedroom apartment near the beach. You have \$400 per week to spend.

Choose three advertisements for rental properties in the newspaper that you could afford and explain why you think each might be a good place to live.

16 Buying and selling real estate.....

Whether you are buying a house, an apartment or a block of land, there are procedures that must be followed, including research. This involves looking at advertisements for houses for sale or auction, which can be found in newspapers, on the Internet and at the offices of real estate agents.

It is also important to calculate how much money you have for a deposit, how much you may need to borrow and what would be the likely repayments.

When you have found the property you want, it is advisable to contact a solicitor. The purchase of a house or unit involves:

- paying a holding deposit (this is not legally binding, but it gets things moving)
- exchanging contracts (a legal document that binds the sale and involves the payment of an agreed sum, usually 10% of the purchase price)
- arranging settlement (paying the balance of the money owing to the vendor or seller) – when this happens, the property is legally owned by the purchaser.

Below is a typical newspaper advertisement for a unit.

Westwood \$520 000

SUNNY WITH VIEWS

Inspect Sat. 11.30am–12.30pm

2 bedrm unit at rear of building. Int. laundry, LUG & north balcony with fabulous views. Stroll shops & transport

LMN Property. 8740 5555

Conveyancing

Conveyancing is the term given to the legal procedures required to arrange the purchase of a property. These procedures are usually carried out by a solicitor, but they can also be done by a conveyancing company with expertise in the process.

Conveyancing usually involves:

- a search on the title of the property to see that the current owner is legally entitled to sell it
- a survey check to see that the land or property described is in accordance with official maps of the area (from the land titles office)
- obtaining council certificates of compliance that indicate that the plans comply with all council regulations and that all rates and charges have been paid
- obtaining permission from other government departments in case the land is subject to future development or resumption plans (such as a new freeway)
- obtaining a building certificate that describes the condition of the building in case there are faults (this is not compulsory but advisable)
- arranging finance – a solicitor will usually help with the document used as security for a loan, called a mortgage (most buyers don't have enough money to buy a property outright and have to borrow)
- checking the contract for the sale of the property – the contract can sometimes be a complex legal document with many provisions and clauses. It must be signed by both buyer and seller when agreement is reached.



Activities

- 1 Design a flow diagram, placing the steps below in the correct sequence.
arrange settlement; calculate your finances; pay a deposit; contact a solicitor; exchange contracts; arrange your loan; make a decision; check the market
- 2 Indicate whether each of the following statements is true or false:
 - a A house is legally yours when you exchange contracts.
 - b Real estate agents assist people to buy or sell property.
 - c You must use a solicitor if you are buying or selling a property.
 - d Legal ownership of property is indicated on a Certificate of Title.
 - e Arranging settlement on a property only happens when there is a dispute.
- 3 Rewrite the advertisement for the house at Westwood in your own words, expanding the abbreviations.
- 4 Match the following terms with the definitions below.
mortgage, refinance, interest, title deeds, contract, settlement, conveyancing, land resumption, vendor, deposit
 - a Legal procedures and checks made by a solicitor prior to purchasing a property.
 - b The seller of a property.
 - c The document indicating legal ownership of land.
 - d Negotiating a new loan for property.
 - e When the government requires land to build a freeway.
 - f The amount a purchaser first pays to the vendor when buying property.
 - g A loan agreement.
 - h The cost of a loan.
 - i A legally binding agreement, in writing.
 - j The final step in the purchase of a property.
- 5 Imagine that you are looking for a house to buy. Make a list of 10 features that you would like to have in a house.



Find two advertisements for houses or units in the real estate section of a newspaper that appear to be good value (you will need to compare them to all the other similar properties in the same location).

For each one, explain why you selected it.

17 Insurance

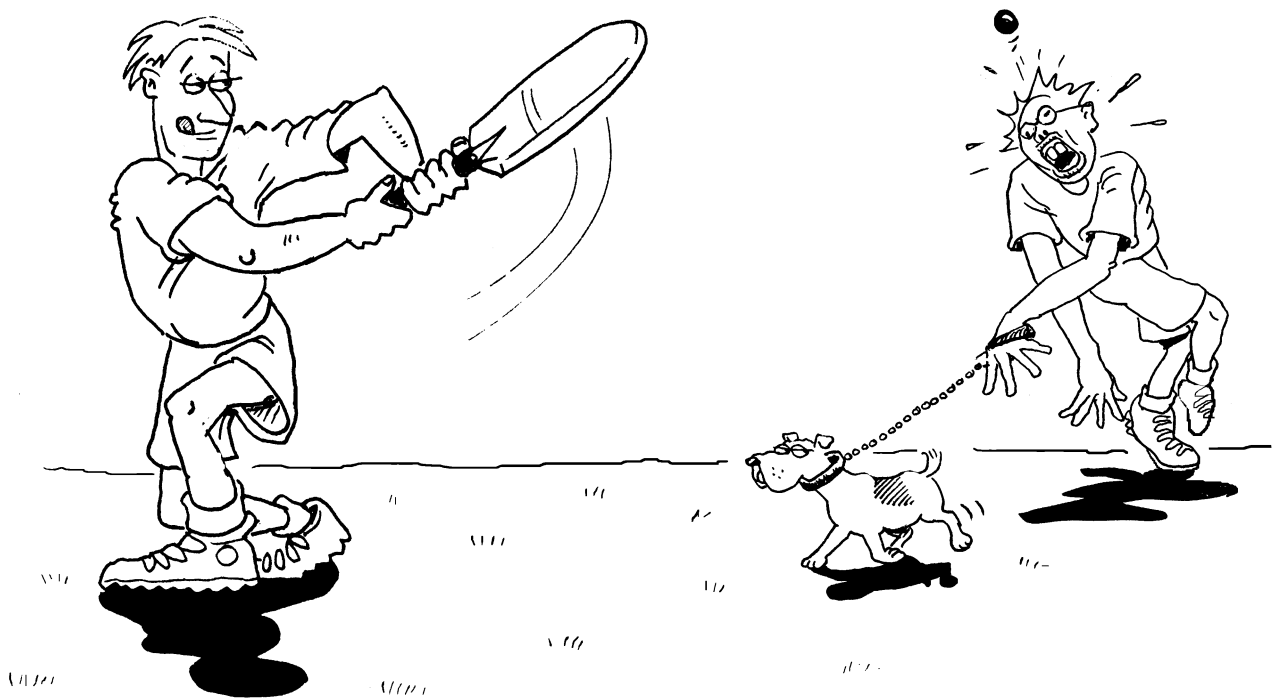
How it works

Insurance is all about spreading risk. For example, if a group of 20 softball players all decide to put \$50 into a fund to cover any medical costs in case one of them is injured, then they have \$1000 in the fund. So if a player is injured, then there is \$1000 to spend on medical treatment for that person. The fund means that all the players are covered in case of injury and everyone agrees it is worth \$50 to ensure that there is money to go towards any possible costs. Insurance companies operate in much the same way.

There are three main principles upon which insurance is based:

- **Utmost good faith:** this means that the person taking out an insurance policy must answer the questions asked by the insurance company truthfully and disclose all relevant information. This relates to both application forms and when making an insurance claim.
- **Insurable interest:** this means that the person who takes out an insurance policy must have an interest in the property being insured. For example, you must own the car, boat, house or whatever item that you are insuring.
- **Indemnity:** this means that when a person makes an insurance claim, he or she should be compensated for the loss and no more. In other words, you are not meant to make a profit out of insurance.

When you make an insurance claim, a person from the insurance company calculates the risk and determines the premium for a policy (the actuary), while another person calculates the value of the loss sustained (the assessor).



Types of insurance

- **Life insurance (assurance):** protection against loss of income.
- **Property insurance:** insurance for damage or loss of items such as a house, boat or caravan.
- **Accident insurance:** workers' compensation and public risk policies.
- **Motor vehicle insurance:** a type of property insurance.
- **Health insurance:** protection against the high costs of health care.
- **Travel insurance:** insuring yourself against loss of luggage, cancellation of travel or accidents overseas.

Activities

- 1 Match the following terms to the definitions below:
 premium; policy; indemnity; insurable interest; actuary; assessor; workers' compensation; claim; utmost good faith; spreading the risk
 - a A person who calculates risk percentages for insurance purposes.
 - b The amount payable for insurance.
 - c Protection against damage or loss.
 - d The principle that underlies insurance.
 - e Person who values the extent of damage in an insurance claim.
 - f What a person must have before being able to take out insurance.
 - g The document that sets out the conditions of insurance.
 - h Request to an insurance company for compensation.
 - i Insurance taken out by employers to protect workers.
 - j An obligation by the insured to be truthful.

- 2 Complete the following list giving an example for each type of insurance (the first one has been done for you).

Type of insurance	Example
Motor vehicle insurance	<i>Jack has a new Ford and wants to protect himself in case it gets damaged in an accident.</i>
Life insurance	
House insurance	
Travel insurance	
Health insurance	
Workers' compensation	

- 3 Imagine you are an insurance assessor. Analyse the following case studies and decide what should happen and why.
 - a Josephine has insured her house contents for \$20 000. Her policy states that all doors and windows be deadlocked. Her house was robbed while she was out, but she had forgotten to lock the back door.
 - b The Apex Timber Company premises suffers a huge fire. No one is in the building at the time of the fire. The company had recently insured the building for \$100 000, but had not been performing well.
 - c Tina has taken out a travel insurance policy before taking a trip to the United States of America. Over there she gets very sick and requires hospital treatment.



Choose one of the following types of insurance: car, health or travel.
 Find two companies that offer this insurance. Find five differences and five similarities between the two policies.

18 Looking after the environment.....

As consumers, we are confronted with a wide variety of products and it is important that we ask questions such as: Are the manufacture, distribution and consumption of these products harming the environment? Are there alternatives to plastic bags? Can more materials be recycled? Are there products that are made in an environmentally friendly way?

Green labels

You will notice that there are products marketed as 'environmentally friendly', often with their labels coloured green. This could mean that they have received a 'Good Environmental Choice' label from the Australian Environmental Labelling Association, or it could be simply a marketing ploy by the company.

The issue of labelling also applies to food that has been genetically modified (GM). GM foods are those that have been engineered by genetics to make them grow faster or become more disease resistant. Genetic modification is a controversial new technology and therefore there is a demand for modified products to be labelled accordingly.

Another trend is the increasing popularity of organic food. These foods are produced without the use of fertilisers, pesticides or other chemical additives.

The Australian Environmental Labelling Association

The Australian Environmental Labelling Association was created to provide consumers with a clear guide to the environmental factors involved when they purchase a product.

It encourages consumers to purchase products with less environmental impact so that the quality of the environment is improved in the long term. It also encourages producers to consider the effects on the environment in the manufacture of their products. This is part of the move towards sustainable management of resources.

There are now a growing number of 'ecolabelled' products, from laundry detergents and cosmetics to timber products and organic foods. Energy rating labels on electrical appliances are another example.

To find out more about The Australian Environmental Labelling Association you can look at their website.

Recycling

In order to keep up with the demand for paper, forests of trees are being cut down in Australia and in the rest of the world. However, paper can be recycled and many local councils in Australia now have recycling policies to assist with this process.

Plastic bags

Non-biodegradable plastic bags are very harmful to the environment; they don't break down over time, they clog the waterways and are a danger to fish and bird life. Currently there is a big push to ban, or at least limit, the number of plastic bags.

In some countries, for example Ireland, consumers pay for plastic bags. This has dramatically reduced the number of bags being used.

Saving energy

As a society we have become reliant on fossil fuels to generate energy. Each year a typical house pumps approximately 11 tonnes of carbon dioxide into the atmosphere.

The benefits of reducing energy consumption are immediate. Not only does it save money, it will result in a healthier world for future generations.



STRANGE BUT TRUE!

- ☞ 20 million Australians use approximately 6 billion plastic shopping bags every year.
- ☞ In the marine environment, plastic bag litter is lethal, killing at least 100 000 birds, whales, seals and turtles every year.
- ☞ Plastic bags are not free to consumers – they are actually adding an estimated \$173 million a year to Australia's grocery bills.
- ☞ At least 80 million plastic bags end up as litter on our beaches, streets and parks. Australian local and State Governments spend over \$200 million a year picking up litter.
- ☞ Since March 2002, Ireland has reduced its plastic shopping bag usage by 90%, and in April 2003 Coles Bay in Tasmania successfully banned plastic shopping bags in all their retail stores. In the first twelve months, Coles Bay stopped the use of 350 000 plastic shopping bags.

Activities

- 1 What are three reasons why consumers should consider the environment when they buy a product?
- 2 What are the objectives of the Australian Environmental Labelling Association?
- 3 Compile a list of five products that you believe should have 'green labels'. Beside each one indicate the reason.
- 4 Look at the following list of products and think about how they are packaged. Explain how each one could be packaged to save waste.
Television set
CD
Camera
Potatoes
Business shirt
Cereal
Biscuits
A toy car
- 5 Design a poster for a supermarket that wants to abolish the use of plastic bags.
- 6 What are five things you could do in your home to save energy?



Find out more about the recycling of glass and plastic. What happens to all the glass and plastic that you put into your recycling bin at home?

19 Planning an overseas holiday.....

Congratulations! You have saved enough money for an overseas holiday. How do you plan for it? Where do you begin?

Documents

The most important document you will need is a passport. This shows proof of your identity and your country of citizenship. You cannot travel overseas without it. In fact, you would not be allowed out of Australia, let alone allowed into another country. A passport is checked when you leave a country and when you enter another country. You can obtain an application form for a passport from any post office. You will need your birth certificate and two recent photographs to complete the application.

Other documents you may need, depending on the destination, are:

- A visa: some countries require you to obtain 'permission' to enter. This is in the form of a stamp in your passport that allows you to enter the country. Visas are obtained from the country's consulate in Australia and usually involve a fee.
- A health certificate: indicates required vaccinations that may be necessary to enter some countries.
- A work permit: may be needed if you want to work overseas. If you don't have one and the immigration officer at the point of entry suspects you are going to work in the country, you may be refused entry.

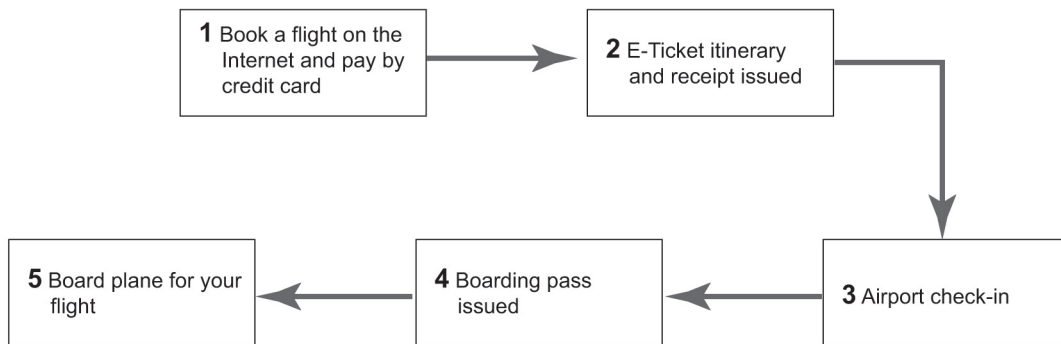
It may also be advisable to buy some foreign currency as Australian dollars are not generally accepted for payment. You can buy foreign currency in cash at a bank or at the airport before you leave, or you can purchase travellers' cheques, which you can cash when you are overseas. Most major travel destinations today have ATMs and your debit or credit cards can generally be used to withdraw cash. Your PIN is the same wherever you are in the world.

Organising the trip

Some of the decisions you will need to make before you go on your trip include:

- Destination: where do you want to go? Often people try to fit too many places on their itinerary and end up with a rushed trip. Making a priority list of your most favoured destinations is a good way to start.
- Method of travel: will you fly, go by ship, overland or a combination?
- Type of travel: you could choose a package tour, where everything is organised and you pay upfront, or you can travel independently and do your own thing. You can book accommodation in advance or find it when you get there (or a combination of both).
- Costings: you need to research how much it is all going to cost and decide if you can afford it. It is important to work out a budget.
- Booking method: you can use a travel agent or book over the Internet. The advantage of using a travel agent is that they have expert knowledge about airfare structures as well as special deals, shortcuts for planning and other advice. Booking via the Internet is becoming very popular and it may save you money, but you may not have the same safeguards that a reputable travel agent can provide. Also, not all Internet fares and accommodation listings are necessarily cheaper than booking through a travel agent.
- Travel itinerary: it is a good idea to prepare an itinerary even if you don't follow it exactly when you are away. You can build in some flexibility in an itinerary.
- Travel insurance: for an overseas holiday this is a very good idea and in some countries it is compulsory. Insurance will cover you not only for lost luggage, but also for medical expenses if you get sick overseas.
- Research: the more information you have the better prepared you will be for your trip. It is important to get travel brochures, read travel books, check travel websites and talk to friends who have travelled. This will ensure a more enjoyable trip.

Booking a flight



Activities

- 1 What is the most important document you will need when you travel overseas? Why is it so important?
- 2 What is a visa? Why do you think some countries require one? How do you obtain one?
- 3 Why do some countries require a work permit? What could happen if you don't have one and you are suspected of looking for work?
- 4 What are the advantages of air travel as opposed to sea travel? What is your preference and why?
- 5 What are the advantages and disadvantages of booking a trip over the Internet?
- 6 Why is researching the cost of a trip important? What could happen if this is not done properly?
- 7 Why is travel insurance important? What could happen if you don't have any?
- 8 Imagine that you are travelling overseas to a warm climate country and a cold climate country. Make a list of 10 things that you should pack for each climate.



Imagine that you have saved \$7000 for your two-month trip to Europe.

Prepare an itinerary for your trip. You could check flight schedules on the Internet and include departure and arrival times.

Find out the approximate cost of the following things and prepare a budget for your trip.

- Airfare
- Airport taxes
- Travel insurance
- Transfers to/from airports
- Accommodation
- Local transport
- Daily expenses
- Other expenses

20 Joining a club

Most people have joined at least one club in their lives and many are members of several. Being a member of a club, whatever it is, can provide great enjoyment and satisfaction for people, if only because it provides a sense of belonging. Below is a list of some of the different types of clubs.

Types of clubs

- Large licensed clubs
- Sporting clubs
- Craft clubs
- Fan clubs
- Music and drama clubs
- Friendship clubs

Club documents

The following is a list of the typical documents of a club:

- Constitution: a set of rules by which the club is run.
- Register of members: a list of all members and their contact details.
- Attendance book: a record of member attendance at meetings.
- Minute book: a record of the proceedings from each meeting.
- Correspondence file: letters received and copies of letters sent.
- Annual report: a summary of the year's activities.
- Financial statement: a summary of financial records.
- Club journal: a regular magazine or newsletter sent to members.



Club office-bearers

The following is a list of the typical office-bearers of a club:

- President: chairs meetings and acts as the club spokesperson.
- Vice president: assists president and acts on his or her behalf if absent.
- Secretary: records minutes of meetings and handles correspondence.
- Treasurer: handles all finances, including receiving subscriptions and making payments.

Meeting procedures

Accepted meeting procedures involve the right of members to present a motion (a proposal put forward). For the motion to be considered, it needs to be seconded by another person. The members, either by a show of hands or a written secret ballot, then vote on the motion. If a majority of members vote in favour of the motion, it is said to be 'carried'; if not, it is lost.

The agenda

Meetings are generally conducted by the president of a club according to an agenda that has been set down or agreed upon. A typical agenda might look like this:

Agenda for the Tripoli Sports Club

Monthly meeting 15 October 2005

- 1 Apologies
- 2 Minutes of previous monthly meeting. Reading and acceptance.
- 3 Business arising
- 4 Correspondence. Tabled by club secretary.
- 5 Treasurer's Report
- 6 Committee reports
 - a Grounds committee
 - b Finance committee
 - c Social committee
- 7 General business

Activities

- 1 Complete the following passage by using terms from the list below to fill in the spaces.
 agenda, constitution, minutes, secretary, president, meeting, motion, seconder, annual report, auditor, motion, vote, treasurer, subscriptions, correspondence, club journal
 A club is governed by its rules which are set out in its _____. Meetings are held regularly and an _____ is circulated showing the items for discussion. Members can move a _____ but it must have a _____ before it is put to a _____. The club's office bearers include the _____ who usually chairs the _____ and the _____ who takes the _____, which are a record of the proceedings, and also attends to _____. Another important office bearer is the _____ who controls the finances and arranges for an _____ to check the club's accounts which are published in the _____. Club members usually pay a _____ and regularly receive a _____.
- 2 What is an agenda and what is its purpose at a club meeting?
- 3 Make a list of local clubs in your area. Beside each one indicate the type of club.
- 4 What are the benefits of joining a club?
- 5 Set up your own club. Give your club a name and write a constitution. Set out the main aims of the club, the number of office bearers and the rules.
- 6 Match the following terms with the correct definition.

Cheques	When money is given to the club
Annual report	Document issued when money is received
Cash book	Payments made using these
Donations	Details of finances for the year
Receipt	Method of recording cash transactions
Subscriptions	Fees paid annually by members
Balance sheet	Statement of club's assets and liabilities
- 7 Evaluate the importance of being a member of a club. To what extent might this be a solution for loneliness or depression among young people?



Write a short play depicting a typical club meeting. The characters in your play could include a club president, a secretary, a treasurer, a committee chairperson and committee members.

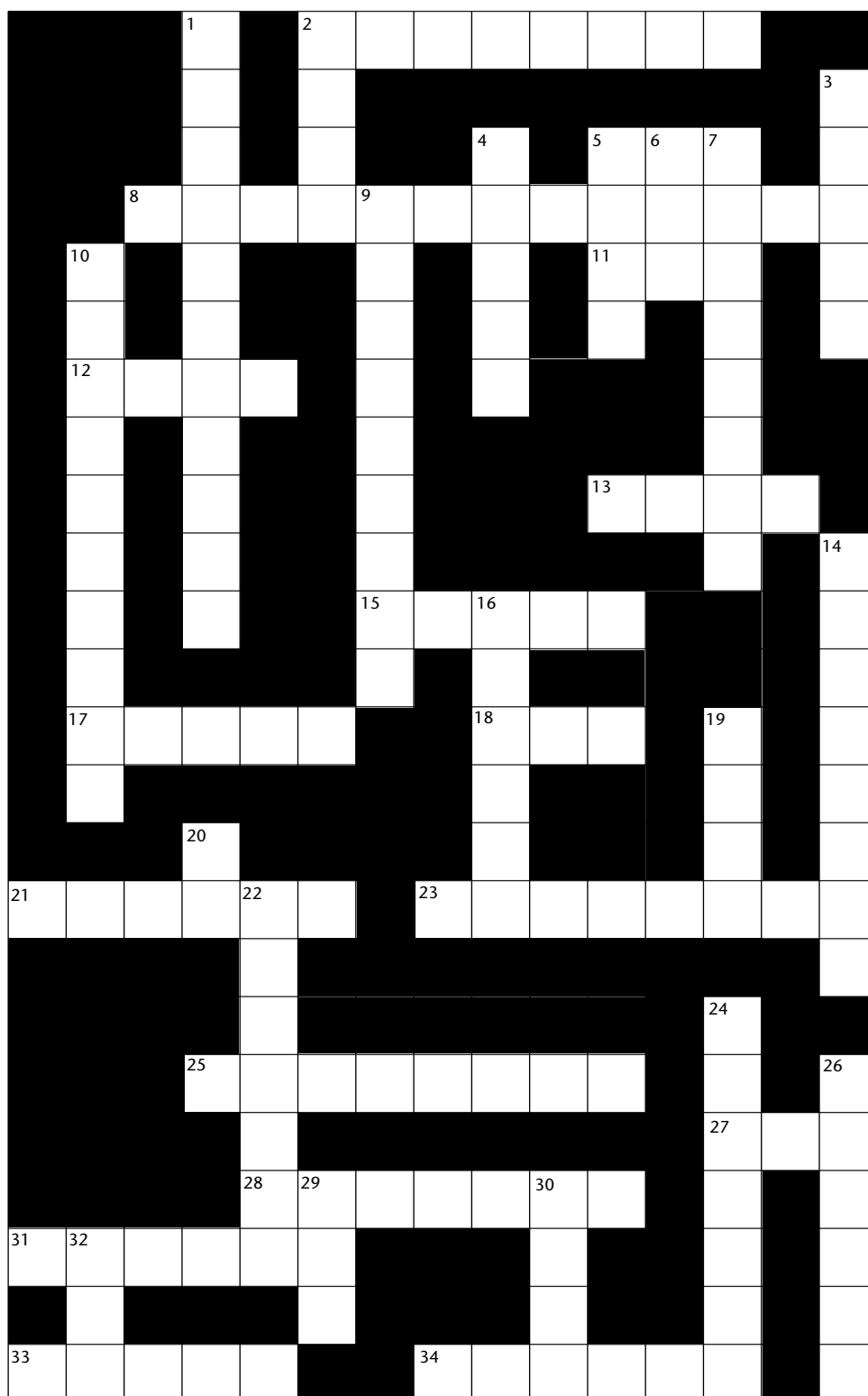
21 Consumer crossword

Across

- 2** Place where you pay for your purchases
5 A young school leaver
8 Selling goods using the telephone
11 Mobile phone message
12 A type of credit card
13 Money paid for the use of someone else's property
15 A type of market
17 Things basic to our survival
18 Electronic Funds Transfer
21 Allowing a customer to pay at a later date
23 Tasks performed for others, usually for money
25 Coins and bank notes
27 Child Support Agency – helping families in financial need
28 Income not spent but stored for future use
31 A place where buyers and sellers interact
33 Money paid to the government
34 Income paid to people on a yearly basis

Down

- 1** A computer program that calculates and stores data in a grid
2 You can ring up an order or you can ... to the store
3 Money paid to workers on a weekly basis
4 What you pay for a good or service
5 A cheaper product costs ...
6 Automatic Teller Machine
7 Reduction in the price of a good or service
9 Strategies to promote and advertise goods for sale
10 Putting your money where it will earn income
14 Payment for the use of money that has been borrowed
16 Means of paying for goods using the banking system
19 Australian Competition and Consumer Commission
20 Abbreviation for advertisement
22 Buying something on the spur of the moment
24 Place where goods are made
26 Amount by which an item for sale has been increased in price
29 Australian Tax Office
30 A company marketing goods would have at least one of these
32 Organisation which produces Choice magazine



Selected answers

1 WHAT IS MONEY?

- 1 Stones from the island of Yap in the Pacific; shells from West Africa; cigarettes in the Second World War; gold and precious metals throughout history; rum in the New South Wales colonial period.
- 2 To prevent clipping and shaving of the metal.
- 3 Acceptable, divisible, portable, durable and scarce.
- 4 **a** When goods are bought and sold, money is exchanged.
b Can assess value in money terms.
c Can assess value of savings.
d Money is used to record financial transactions.
- 5 Cheques, debit cards and credit cards provide access to money, but are not universally accepted like currency.

2 AUSTRALIAN CURRENCY

- 1 **a** Patterns, water marks and symbols on the notes. Take it to a bank.
b It is illegal to make your own money.
c There are many safeguards and special techniques that are hard to copy.
d \$5: Queen or Sir Henry Parkes and Catherine Helen Spence. \$10: Mary Gilmore and AB Banjo Paterson. \$20: Mary Reiby and John Flynn. \$50: David Unaipon and Edith Cowan. \$100: Dame Nellie Melba and Sir John Monash.
e Four times as long as conventional banknotes
- 2 Mutilated means over 20 per cent is missing, seriously heat damaged; contaminated to prevent handling; unfit means stained or defaced, but not seriously damaged.
- 3 **a** No **b** Yes **c** No **d** Yes
- 4 **a** Mutilated note
b Currency
c Polymer note
d Legal tender
e Unfit note
f Counterfeit money

3 FOREIGN CURRENCY

- 1 The rate one country's currency exchanges for another's. To facilitate trade between countries.
- 2 Supply and demand for currency depends on supply and demand for the country's goods and services.
- 3 **a** A\$ = US\$ 0.7955c
b 59.7 Euros
c \$3.60
d A\$62.85
- 5 Banks and foreign exchange dealers make a profit by buying currency and selling at a higher rate.
- 6 Largest is Vanuatu vatu (4.3); smallest is UK Stg (0.01).
- 7 Cheaper – from \$8.50 to \$8.25 (25c cheaper).
- 8 Finland, Sweden and the United Kingdom.

- 10 It would be highly inconvenient; it would make trade arrangements between countries difficult; there is also history and tradition to consider.

4 CHEQUES

- 1 instruction; bank; drawer; payee; date; signature; cleared; dishonoured; stop payment; cheque; BSB; account.
- 3 Contact the Post Office to check if mail was delivered; stop payment on the cheque and write another one; contact Telstra to explain the situation.
- 4 Similarities: both used as easy payment for goods and are transferable; differences: cash is universally accepted, whereas cheques are subject to signature and identification checks, can be forged and can be traced.

5 CREDIT CARDS AND DEBIT CARDS

- 1 With credit cards you don't pay for goods immediately, but are given time (credit) to pay. With debit cards the money is deducted from your bank account immediately.
- 2 **a** Credit card
b Cash
c Credit card, debit card or cheque
d Credit card
e Credit card, debit card or cash
f Credit card, debit card or cheque
- 3 **a** Chris should research credit cards on the market, including types, benefits and charges (for example, interest rates for late payments).
b Chris's income; the nature of his employment, for example: Does he have a steady and secure job? A regular income? Enough money to pay for purchases plus interest?
c Cash, telephone banking or via the Internet.
- 4 To show transactions and how much is owing. No. Next month outstanding balance plus interest charged are shown.
- 5 Personal Identification Number. Important for security and identification.

6 TELEPHONE AND ONLINE PAYMENTS

- 1 Ordering a new cheque book.
- 2 Habit; tradition; security; fear of new technology.
- 3 Quick and convenient; relatively safe; you don't have to leave your home.
- 4 For security purposes.
- 5 **a** A bill can be paid to any organisation that uses BPAY (including those organisations listed in the 'New Biller') field. The person must indicate from which account the money is to be drawn; the name of the biller; a reference number; and an amount. They can also indicate if the account is to be paid now or at a later date.
b With the reference number and the amount paid.

- c The Biller code is the number for the organisation and the customer reference number is individual for every customer.

7 BUYING AND SELLING ONLINE

- 1 Using a computer and an Internet website to purchase or sell goods.
- 2
 - a Search for an item you want to buy; review details and place a bid; pay the seller.
 - b When an auction site bids for you based on the maximum you want to bid.
 - c An independent third party which holds your money in trust until you have received and checked the goods you have bought.
- 3
 - a Feedback helps you learn about the seller you are dealing with.
 - b So other people know if the seller is trustworthy.
- 4 Advantages: you don't have to leave your home; it is now a more popular way of buying. Disadvantages: could be security concerns if a company is not reputable; you can't inspect the goods you are buying.
- 7
 - a You need to register, log in with a user ID and a password.
 - b You enter your User ID and a password and sign in.
 - c Access the eBay website and check the help menu.

8 BUYING WISELY

- 1 Check the stores selling cameras, including specialty stores and department stores; check prices, deals and warranties.
- 2
 - a Check second-hand car yards, major newspapers and Internet car-buying websites.
 - b Check finances; get advice from experienced people; have the car checked by a mechanic before he buys it.
- 3
 - a Robyn should take time to consider before buying, however there is a cooling-off period. She could check prices in shops selling encyclopaedias before making a commitment to the seller.
 - b Is there a warranty? Can she get a refund if she's not satisfied? Are there any other costs involved?
 - c Book shop; Internet; direct from a publisher.
- 4
 - a Travel agents have more expertise with air fares, codes, special deals and so on, so he should check with one before using the Internet, which may or may not offer a better deal.
 - b A travel agent or directly from an airline.
- 5 Comparison shopping is important: check a number of different shops, including factory outlets and compare prices and quality.

- 6
 - a Set some goals. Compile a list of wants and think before actually buying anything.
- 7 Cosmetics items, such as lipstick.
- 8 Footballs, cricket bats, electric shaver.
- 9 Medicines, health products.
- 10 Protection from faulty goods.
- 11 Detergents, items made from plastic.

9 PROTECTION FOR CONSUMERS

- 1 Consumers are entitled to refunds if goods are faulty, but not if you change your mind. However, a store may agree, to keep your custom. You will need a receipt or proof of purchase.
- 2 Let the buyer beware.
- 3 We now have the right to a refund, guarantees and warranties; and there are consumer protection organisations.
- 4 With door-to-door sales or unsolicited selling a cooling-off period can be 5–10 days for you to change your mind and withdraw from the sale contract.
- 5 A guarantee is a promise that goods are satisfactory and will last a period of time. Implied guarantee means goods will do what they were made to do.
- 6 Be aware of consumer laws on online purchases; also check the security and safety issues: is the seller reputable or is the website a scam?
- 7 Could lose money; buy inferior goods; goods may not work.
- 8
 - a Contact the store and request a refund or replacement or a free repair.
 - b Ask to see the store manager; write letters; contact the Office of Fair Trading in your state.

10 BORROWING MONEY

- 1 For major purchases or where you don't have enough cash or money in the bank to afford the purchase. In an emergency situation.
- 2 Check total amount of the loan, the rate of interest and the amount of monthly repayments.
- 3 Easy to read; rights and responsibilities are outlined; costs and details of loan calculation are set out clearly.
- 4 Interest is the cost of the loan, or the amount payable to the lender for the use of money.
- 5
 - a Total repayments \$540 000; monthly repayments \$9000
 - b Total repayments \$5500; monthly repayments \$229
 - c Total repayments \$556 500; monthly repayments \$4637.50
 - d Total repayments \$872 000; monthly repayments \$4844.44

11 BUDGETING

- 1 A plan of future income and expenditure. It is important to control finances and to ensure that you don't over-commit or get into financial difficulties.
- 2 Define goals; list sources of income; list expenses; review income and expenses; consider savings or set aside money for future or for emergencies.
- 3 A computer program that makes calculations according to formula on an alphanumeric grid.
- 4 In this week the spending exceeded savings. You would need to ensure that this does not happen again or on a regular basis.

12 CHANGING PRICES

- 1 Sales, discounts or promotions.
- 2 Consumer Price Index; prices; quarter; inflation; petrol; fresh fruit; pens; electrical goods.
- 3 Four successive CPIs will give rate of inflation (over one year).
- 4 **a** The first column is CPI movements for one quarter (Sept–Dec); the second column is 12 months (Dec 2003–Dec 2004).
b Clothing and footwear, health spending.
c 2.6%.
- 5 **a** Base year was 1989–90 and measurements taken either side of that year (prices lower before 1989–90).
b $144.1 - 100.9 = 43.2\%$
c Governments look at inflation rate and try to control it; businesses also want to know about price levels, consumer confidence and so on.

13 INVESTING MONEY

- 1 The cartoon illustrates the many choices open to investors and the returns on their money.
- 2 Safety and security, no risks, but certainty.
- 3 **a** Advantages: possible to make better returns, depending on which shares you buy, also receive dividends from shares. Disadvantage: money is safer in fixed deposits with a bank or other financial institution.
b Some shares are riskier than others, for example, mining and oil shares, where failure to find deposits could mean problems. Also some companies managed better than others.
- 4 **a** It is a real asset that can be sold or renovated. They are paying for something they will own in the long term. They can use it as equity to buy other things.
b Advantage: more return on investment. Disadvantages: long term needed before realising any real gains; must pay legal expenses, stamp duty and so on.
- 5 A financial institution that invests money for you.
- 6 **a** Choice is fixed deposit in bank or managed fund, because of short term.
b Property investment requires longer term to make money.

c $\$10\,000 @ 3.5\% = \350

d Slightly more risk, but still reasonably safe: $\$10\,000 @ 5.16\% = \516 , thus \$166 better off.

- 7 Shares or property investment are better in long term.
- 8 7.6% increase.
- 9 **a** 4.2%.
b Not as high as property investment over five years.
c Value of properties could decrease or stay same.
- 10 Invest in energy shares, but not EPR Oil Company. There are real risks of share prices dropping.

14 BUYING A CAR

- 1 You could end up with a car badly in need of repairs, or one that is not even roadworthy.
- 2 Check budget first: may become over committed. Check finances: how much can you afford to borrow?
Check costs: petrol, service, maintenance, repairs. Check warranty: affords some protection. Check vehicle: need to know vehicle is roadworthy.
- 3 Small metal plate inside car bonnet. It tells you the make, model and month and year of manufacture.
- 4 Used car yard; private sale from newspapers; sale from Internet website.
- 5 Trade in on a newer car; private sale; Internet sale.
- 6 Holden Commodore: 4-door, automatic, air-conditioning, power steering, alloy wheels, central locking, full service history, travelled 118 000 kilometres, number plate – ABC 123, \$6500 or near offer.

15 RENTING A PLACE TO LIVE

- 1 May not have enough money to buy outright; preference for renting as more flexible arrangement; prefer to live in an area where they cannot afford to buy; wish to avoid maintenance costs and rates.
- 2 Don't want to maintain a garden; a flat is smaller to clean; want to live inner-city.
- 3 **a** Sunny Hills: 3 bedroom, large living room, built-in wardrobes, laundry, lock-up garage.
b Quiet location; 3 bedrooms for children or guests; living area for entertaining; built-in robes for storage; convenient to public transport.
c A person with a family and a car.
- 4 **a** Elsie Bay: 2 bedroom, second storey, air-conditioning, gourmet kitchen, refurbished bathroom, close to shops.
b Gourmet kitchen, refurbished bathroom, close to shops, air-conditioned.
c A couple without children who like cooking and want to be able to walk to shops.

- 6 Legal contract setting out conditions of lease for landlord and tenant.
- 7 Landlord could take you to court for non-payment of rent.
- 8 Right of property being adequately maintained and kept in good repair.
- 9 To be paid rent owing on time and not have the tenant do any damage to property.
- 10 Maintenance or repairs not done, rent not paid.

16 BUYING AND SELLING REAL ESTATE

- 1 Sequence: check the market; calculate finances; make a decision; pay a deposit; contact a solicitor; exchange contracts; arrange your loan; arrange settlement.
- 2 a False b True c False d True e False
- 3 Abbreviations: 2-bedroom unit, internal laundry, lock-up garage.
- 4 a conveyancing
b vendor
c title deeds
d refinance
e land resumption
f deposit
g mortgage
h interest
i contract
j settlement

17 INSURANCE

- 1 a actuary
b premium
c indemnity
d spreading the risk
e assessor
f insurable interest
g policy
h claim
i workers' compensation
j utmost good faith
- 2 Life insurance: insuring person's life for death or injury or for payment at a future date; House insurance: building and/or contents; Travel: loss of luggage or belongings, cancellation, accident or health problems while travelling; Health: protection against large medical bills; Workers' compensation: injury at work.
- 3 a Insurance may not be valid as policy states that doors be locked.
b Concern: need to get police and fire authorities to investigate.
c Payment should be approved provided Tina had documentation from hospital.

18 LOOKING AFTER THE ENVIRONMENT

- 1 Environment should be protected for future generations; sustainability; and reduction of pollution and waste.

- 2 Organisation that tries to encourage companies to produce goods in an environmentally friendly way and label goods accordingly.
- 3 Detergents: health and safety; Fresh foods: health; Electrical goods: energy saving.

19 PLANNING AN OVERSEAS HOLIDAY

- 1 Passport: required to enter another country.
- 2 A special entry stamp in a passport. Countries may want to check people coming in, obtained from a consulate.
- 3 To protect local jobs. You could be sent back home.
- 4 Air travel is faster; sea travel can be more relaxing.
- 5 Advantages: could be cheaper and can be done at home; disadvantages: may be disreputable website, security risks, could be less reliable than travel agent.
- 6 Greater enjoyment and fewer problems. Extra unknown costs and dangers.
- 7 It lessens the risks of loss or damage.

20 JOINING A CLUB

- 1 Constitution; agenda; motion; seconder; vote; president; meeting; secretary; minutes; correspondence; treasurer; auditor; annual report; subscription; club journal.
- 2 An agenda is a document that provides the order of business for a meeting.
- 4 Having friends in a club can help alleviate problems of depression or loneliness by providing support and advice.
- 6 Cheques: payments made using these; Annual report: details of finances for the year; Cash book: method of recording cash transactions; Donations: when money is given to the club; Receipt: document issued when money received; Subscriptions: fees paid annually by members; Balance sheet: statement of club's assets and liabilities.

21 CONSUMER CROSSWORD

Across

- 2 Checkout 5 Lad 8 Telemarketing 11 SMS
12 Visa 13 Rent 15 Niche 17 Needs 18 EFT
21 Credit 23 Services 25 Currency 27 CSA
28 Savings 31 Market 33 Taxes 34 Salary

Down

- 1 Spreadsheet 2 Come 3 Wages 4 Price
5 Less 6 ATM 7 Discount 9 Marketing
10 Investment 14 Interest 16 Cheque 19 ACCC
20 Ad 22 Impulse 24 Factory 26 Markup
29 ATO 30 Goal 32 ACA

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Buying and selling on the Internet
Budgeting and spending your money wisely

Consumer rights and protection
Inflation and CPI
Investing and borrowing money
Buying a car
Renting, buying and selling real estate
How insurance works
Looking after the environment
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